

Tottenham Hotspur plc
 ("Tottenham Hotspur" or "the Company")

Final Results
 for the year ended 30 June 2010

Financial Highlights	Year ended 30 June 2010 £m	Year ended 30 June 2009 £m
Revenue	119.8	113.0
Profit from operations excluding football player trading	22.7	18.4
Amortisation and impairment of registrations	(40.0)	(37.3)
Profit on disposal of player registrations	15.3	56.5
Net finance costs	(5.0)	(3.4)
(Loss)/profit on ordinary activities before taxation	(6.5)	33.4
(Loss)/profit for the year	(6.6)	23.2
(Loss)/earnings per share	(5.6p)	25.0p

Summary and Outlook

- Record revenues of £119.8 million
- Profit from operations excluding football player trading of £22.7 million
- Total assets of £288.2 million
- Increases in media and broadcasting revenues, including a higher ment award for our fourth place finish
- Stadium at full capacity for every FAPL game resulting in increased gate receipts and merchandising revenues
- Continued investment in the First Team squad and in capital projects

Commenting, Daniel Levy, Chairman, said

"This period has seen the Club produce a record turnover and a 23% increase in operating profit

"We are benefiting now from our investment to date in the First Team squad. Our challenge is to accrue further benefits from our investment in capital projects in order to lay the strongest foundations for the future stability and prosperity of the Club

"I would like to commend everyone at the Club for their continued hard work and thank our supporters for their magnificent support both home and away throughout the season."

Enquires

Matthew Collecott, Finance Director
 Tottenham Hotspur plc

Tel +44(0) 208 365 5322
www.tottenhamhotspur.com

John Bick
 Hansard Group

Tel +44(0) 7872 061 007

Jonathan Wright
 Seymour Pierce Limited

Tel +44(0) 207 107 8000

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Chairman's statement

This period has seen the Club produce a record turnover and a 23% increase in operating profit before football trading and amortisation, achieved during what has been a difficult economic time and a season without European competition

These figures show the significant progress that has been made over the past 10 years. This is most notable from a financial perspective given the growth in revenues, intangible assets (players) and tangible assets (Stadium and Training Ground developments). To put this into context, 10 years ago the Club had revenues of £48m, intangible assets of £37m and tangible assets of £47m. We now have revenues of £120m, intangible assets of £116m and property, plant and equipment of over £123m. This is now a business with total assets of over £288m.

The Board has always taken the view that the business should be grown prudently and that reinvestment in the core drivers of the business alongside strong partners would deliver stability and, ultimately, success to the Club.

Investment in the First Team squad has meant qualification for the Champions League, one of our key goals. Investment in capital projects will mean the ability to continue to compete at the highest level.

Alongside these investments are the less obvious but no less important ones which include – investment in young players, in our growing younger fan base, in the growth of our brand footprint internationally and investment in our wider communities.

These have also enabled our Club to be the largest charitable donor in the Premier League and our Foundation to be the most extensive provider of community-based projects.

Financial highlights

This year's financial results for the year ended 30 June 2010 have seen revenue reach a record high of £119.8m (2009 £113.0m). For yet another season we filled our Stadium to capacity for every Premier League home match and during this period Premier League gate receipts rose to £20.1m (2009 £19.8m).

Increases in media and broadcasting revenues, including the higher merit award for our fourth place finish, along with a rise in merchandising revenue, also contributed to our increased revenues.

Importantly, our operating profit excluding football trading, a key performance indicator for how the business is performing as a cash-generating business, increased by 23% to £22.7m (2009 £18.4m).

We have continued to invest in the First Team squad and currently have one of the largest squads in the Premier League. Additionally we have invested in our capital projects with the start of building works on the First Team and Academy Training Centre and have recently gained local planning consent for the Northumberland Development Project.

Capital projects

The Club revised its plans for the Northumberland Development Project – the new stadium and related developments scheme – in response to stakeholder feedback. New designs incorporated four retained heritage buildings, a raised piazza and revised southern development with reduced residential and increased public square. The plans were formally submitted to Haringey Council in October 2009 and received approval by the Council's Planning Committee on 30 September 2010. At the time of publication of this Report, the application was in the process of being referred to the Mayor of London and the Secretary of State in order to obtain full consent.

The stage of consent reached to date, with the incorporated amendments, has meant that the projected cost of the scheme has risen substantially. Retained historic buildings, which will require extensive refurbishment and renovation, increased development costs associated with the piazza, the loss of enabling development with the reduction in residential, substantive S106 and S278 agreements and a sizeable contribution to Transport for London, collectively add in the region of £50m to the costs. Additionally, the scheme does not benefit from public sector grants or regeneration monies.

It was therefore prudent and sensible that, at a time when we had yet to receive approval for the application, we should register our interest in the Olympic Stadium site, before the deadline of expressions of interest passed.

Chairman's statement

A new, increased capacity stadium is essential for our Club. We have 33,000 supporters on the paid-for Season Ticket Waiting List and we need to continue to move the Club forward which can only be delivered for the longer term in an enlarged stadium.

We shall continue to pursue our stadium processes and we shall retain our primary focus of creating the most atmospheric stadium in Europe – this is what our supporters deserve and this is what makes our matchday experience unmissable.

We continue to support the 2018 World Cup bid – to win this in the coming months would be a fantastic achievement and any stadiums involved would clearly feature on the world stage and forever be known as a World Cup stadium and a part of football's World Cup heritage.

We shall shortly be taking the players to view the latest stage of works to the new Training Centre at Enfield. Groundworks have been ongoing for several months and we have now started construction works on the main building. The opening of this state-of-the-art facility will be much welcomed and long awaited and we anticipate it being operational for the 2012/2013 season. I have no doubt that the playing and non-playing staff of both the First Team and the Academy will thoroughly enjoy their new surroundings and world-class facilities on the 73 acre green belt site.

On the pitch

Our fourth place finish in the Premier League at the end of the season was truly memorable and long awaited. It heralded a return to Europe and our entry to the elite Champions League. Following on from this success, in the current season we won our qualifying round to progress to the Group Stages of the Champions League, in which we recorded a memorable win over Inter Milan, the current European Champions, on an unforgettable November night at White Hart Lane. Investment in the First Team squad has long been the first priority at the Club and we must now look to continue our consistently good performances with a stable squad.

In 2009/2010 we reached the quarter-finals of the Carling Cup, being knocked out by the eventual winners Manchester United and went one round further in The FA Cup, reaching the semi-finals before a disappointing loss in extra time to Portsmouth at Wembley.

During the financial year the following players joined the Club: Sebastien Bassong, Anton Blackwood, Peter Crouch, Eidur Gudjohnsen (loan), Younes Kaboul, Niko Kranjcar, Kyle Naughton, James Walker and Kyle Walker. The total cost of all of these players was £37.8m.

The following players have left during the financial year: Troy Archibald-Henville, Darren Bent, Yun Berchiche, Kevin-Prince Boateng, Lee Butcher, Pascal Chimbonda, Sam Cox, Gilberto Da Silva Melo, Chris Gunter, Tomas Pekhart, James Walker, Didier Zokora, for total fees of £24.6m.

Since the year end we have boosted the squad further with the following signings: William Gallas, Stipe Pletkosa, Sandro, Rafael van der Vaart, for combined transfer fees of £19.9m.

The following players have left since the year end: Donan Dervite and Adel Taarabt, for combined transfer fees of £0.9m.

The Club had a successful pre-season tour in the summer of 2009, when the First Team squad competed in and won the Barclays Asia Trophy and also participated in the Wembley Cup. In the summer of 2010 the First Team trained with our international partner club, San Jose Earthquakes and participated in the Red Bulls tournament in New York.

At youth level, three more academy players, David Button, Jake Livermore and Danny Rose made their debuts during the season, building on the four from the previous season. These First Team appearances are invaluable experiences at such young ages. Behind the scenes the endless development hours for the younger players come in the form of training and friendly game experience with the First Team, plus acquiring playing experience in the Football League. This is a result of the Club's strategy to withdraw from the Reserve League and allow players to accumulate senior appearances in the Football League.

Chairman's statement

Last season 17 players under 21 years of age played an average of 22 games each, whilst still training regularly back at the Lodge and playing in midweek development games for Tottenham Hotspur. We feel this combination of technical development at home with added coal-face experience in the League is the best way of bridging the gap from youth football to the Premier League.

The feedback we receive about the level of professionalism and conduct of our young players on loan is particularly pleasing and they are a credit to our Club.

Additionally, 16 players competed in international football for their respective Under-16 to Under-21 sides, 13 of whom played for England.

We attended 28 tournaments as part of the continuing strategy of preparing young players to compete against the different football styles and cultures which make up the Premier League.

Commercial operations

This year saw the continuation of several commercial agreements and time was spent preparing for their renewal at the end of their terms.

One contract which ended at the end of this period was our shirt sponsorship agreement with MANSION. We should like to thank them for their support and involvement with the Club over the past four years.

We were delighted to announce two new shirt sponsors in a ground-breaking innovative split of the shirt sponsorship inventory. Autonomy, the world's largest pure software company, became our sponsor for all Premier League matches and Investec, the specialist banking and asset manager, became our sponsor for all cup competitions. Both companies are blue-chip international organisations, listed on the London Stock Exchange. We look forward to working with them both at this key stage in the Club's growth and development and in leveraging and activating these sponsorships to the benefit of all businesses. In addition we have worked to renew and replace agreements in other sector categories with Thomas Cook, Sportingbet and Ladbrokes.

These agreements run from 1 July 2010 and will be reflected in the next set of accounts.

We are also pleased to announce a further one-year extension to the Puma kit deal that will see us through to the end of the 2011/12 season.

Corporate Hospitality suffered from the Club not being in a European competition during the season, but Merchandising saw a significant increase as consumer confidence rose during a good football season.

Our Club channels continue to grow and our official website, despite the ever-increasing number of generic sports websites, broke the one million unique users (visiting monthly) and peaked at 1.5m.

Spurs TV continues to attract the highest levels of subscriptions of any comparable Premier League club channel and content regularly drives additional media coverage in the wider football arena. The Club's Facebook page and Twitter account were planned within this period and launched in the summer.

The challenge for the Club on the new media front is to adopt and innovate those streams and channels which not only deliver accessibility and information to our supporters, but which keep up with growing demand and requirement for content.

International development

We had a busy year with our three well established partnerships, namely Supersport United FC (South Africa), South China (Hong Kong) and San Jose Earthquakes (USA), and were delighted to agree a new partnership with FC Internacional (Brazil).

Chairman's statement

All these partnerships have been developed to provide relationships that can facilitate the development of players and the exchange of coaching and academy methodologies. As a result we have seen players visit us from all four clubs and we have made several visits to our partners. We have also jointly participated in international tournaments with our partners.

The very visible, immediate gains of these partnerships have been the signings of Sandro from FC Internazionale and a pre-contract agreement with Khumalo Bongani to join us from Supersport in January 2011. At Academy level we continue to monitor players at all age groups and are excited about the future potential.

Fan development

This period included plans for programmes and incentives designed to promote access to our next, younger generation of fans. Launched at the start of the 2010/2011 season, these included free membership for under-11's, which doubled our junior membership, along with provisions for season ticket holders to bring their children to matches, free stadium tours for schools and increased family days and events. It is important that we recognise the need to make the Club and its fixtures accessible and to welcome new fans as we seek to grow the Club for the future.

Tottenham Hotspur Foundation

This was the year that saw us reach the key milestone of having delivered one million opportunities through the Club's Foundation, and we achieved this within two years. It is a remarkable achievement. All too often the work of football clubs in the community is seen as a photo opportunity or a brief player appearance – we have deliberately worked hard to remove this superficial and inaccurate description. Anyone who attended the Foundation's recent awards ceremony as part of our 'To Care is to Do' programme would have realised that the work achieves real results. This programme, which works with children in care, is just one of the many examples of programmes we run which work with individuals and which fundamentally address their issues and make it possible for them to achieve more in life. Hours are given to one-to-one contact and mentoring, and the results are inspiring.

We are proud of the fact that the Tottenham Hotspur Foundation continues to lead the way within Community Sport by developing a wide range of innovative and pioneering projects across London.

Within this period we developed and launched the Foundation's new educational degree course and became an institutional partner with Middlesex University. This is the first partnership of its kind and the learners will undertake an 'Applied Sport and Community Development' Foundation Degree focusing on sport and community.

The Foundation continues to deliver a number of estate-based projects across four London boroughs (Haringey, Enfield, Barnet and Waltham Forest) and in Harlow.

The Section 106 agreement with Enfield Council and Lee Valley Park Regional Authority relating to our new Training Centre at Bulls Cross was also launched. To date a range of projects have been delivered including healthy walks, writing skills courses, estates and health programmes and further initiatives will be delivered over the next 10 years.

Our international work continues and Foundation coaches have this year travelled to Sri Lanka, China, South Africa, Portugal, Singapore and Poland to help support work within disability sport and football development.

We shall continue to underwrite the work of the Foundation as this Club is fully aware of its responsibility to its communities.

Other charitable donations

In support of our international charity SOS Children's Villages, the Club participated in World Orphan Week. Every player sponsored an orphan from three countries around the world – Haiti, China and South Africa.

Chairman's statement

We specifically arranged sponsorship of children in the Club-funded orphan's house in Rustenburg, South Africa by our players likely to be selected for England. It was especially heart-warming that in the lead up to the World Cup 2010, Michael Dawson was able to visit the house and meet the young lad he was personally sponsoring.

We have also worked with and supported Help 4 Heroes and donated thousands of tickets to Tickets for Troops. We regularly send out flags and kit to our fans in the armed forces serving overseas. We auctioned the Poppy Appeal match shirts and generous supporters bidding helped us raise over £30,000 for that event alone.

We continue to support the Tottenham Tribute Trust (TTT) which looks after ex-players in need. A special range of legends shirts was marketed and sold with all profits to the TTT and we have planned activities for future fund-raising jointly with the committee.

During this period we became the first British club to become a Special Olympics Global Football Ambassador, alongside Inter Milan. We shall now work with Special Olympics in both the UK and around the world and the Foundation recently supported their work in Portugal.

Outside of the period and notably due to our location in Northumberland Park, the most deprived area of London, the Club and players, led by Benoit Assou-Ekotto, made a substantial donation to the Evening Standard's 'The Dispossessed Campaign'.

Environmental responsibility

The Club takes a responsible approach to the challenges of climate change. In addition to being a founding participant of 10 10, we have also embraced leading green technologies in the new Training Centre currently under construction.

Notably, the new building will include an inter-seasonal Aquifer Thermal Energy Store (ATES). This will reduce the carbon emissions footprint by a 30% improvement on the minimum standard required and this will be one of the first uses of this type of technology in the UK.

Management and staff

I would like to thank Harry Redknapp, the coaches and all the players for a wonderful season.

There is never a quiet period at a football club and I should like to thank all of our staff for their consistent hard work and determination to deliver the very best service to supporters.

At the end of the season, John Alexander, our Club Secretary, left us to join Manchester United after 10-years' service. We thank him and wish him well for the future. I am very pleased to welcome Darren Eales as his replacement, who joins us from West Bromwich Albion.

I should also like to once again thank Sir Keith Mills, our Non-Executive Director, for his invaluable guidance and support.

We are delighted to announce the appointment to the Club's management board of Charlie Wijeratna as Executive Director with commercial responsibilities, with effect from December 2010. Charlie joins us from the London Organising Committee for the Olympic Games where he was responsible for the delivery of significant commercial revenues. He brings with him a proven track record and will be a great addition to the management team.

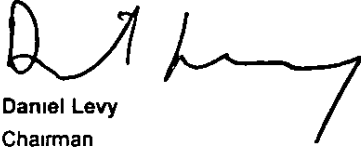
Outlook

Our priority on the pitch remains the Premier League – this is the true measure of our progress and ability to compete at the highest level.

Chairman's statement

We are benefiting now from our investment to date in the First Team squad. Our challenge is to accrue further benefits from our investment in capital projects in order to lay the strongest foundations for the future stability and prosperity of our Club.

I should like to commend everyone at the Club for their continued hard work and thank our supporters for their magnificent support both home and away throughout the season.

A handwritten signature in black ink, appearing to read 'Daniel Levy', with a stylized, elongated flourish extending to the right.

Daniel Levy
Chairman

10 November 2010

Financial review

Financial review

I am pleased to announce the financial results for the year ended 30 June 2010

We again reached record revenues and a 23% increase in our operating profit before football trading and amortisation

The table below shows the results of the football and property segments of the Group

	2010	2009
	£m	£m
Football		
Revenue	119.0	112.2
Operating profit*	22.8	18.6
(Loss)/profit before tax	(5.8)	34.2
Property		
Revenue	0.8	0.8
Operating loss*	(0.1)	(0.2)
Loss before tax	(0.7)	(0.8)
Group		
Revenue	119.8	113.0
Operating profit*	22.7	18.4
(Loss)/profit before tax	(6.5)	33.4
*=Operating profit/(loss) before interest, football trading and amortisation		

Revenue

This year Club revenue has reached a record high of £119.8m (2009 £113.0m)

Premier League gate receipts rose to £20.1m (2009 £19.8m) with the Stadium sold out for all Premier League home games. The revenue from gate receipts remains consistently high with demand for season tickets being stronger than ever, with the Season Ticket Waiting List standing at 33,000 registered and paid-up members. Our fans continue to demonstrate unwavering support for our team and Club and we are continually seeking ways to increase our fan base overseas and add value for domestic fans. This continued support is of utmost importance in ensuring that the Club is able to prosper.

Beyond the Premier League the Club missed out on the Carling Cup final, for what would have been a third successive year, being knocked out by the eventual winners Manchester United at the quarter-final stage. The Club went one round further in The FA Cup, reaching the semi-finals before we disappointingly lost in extra time to Portsmouth at Wembley. Overall, the cup competitions raised £6.7m (2009 £8.1m) in gate receipts and prize monies, a drop of £1.4m mainly due to a lack of European football for the first time in four years.

Media and broadcasting revenues increased by 15% to £51.5m (2009 £44.8m). This gain is largely attributable to a higher ment fee award based on our final league position of fourth compared to eighth the previous season and a rise in the number of times the Club featured in live televised games.

Sponsorship and Corporate Hospitality income fell to £25.8m (2009 £27.4m), again a reflection of not having the well-attended mid-week European games that have proved popular with corporate fans, as well as difficult economic conditions.

Merchandising rose by 12% to £7.8m (2009 £7.0m) as we saw a return of discretionary spend and better average transaction values as well as a strong product mix.

Financial review

Operating expenses (excluding football trading)

Operating expenses before football trading rose by 3% from £94.6m to £97.1m in the year. Player salaries have risen as the Club has further invested in the depth of its playing squad in preparation of Champions League football.

This higher cost base has been partially offset by a favourable movement in unrealised foreign exchange differences, due to the strengthening of Sterling against the Euro during the year and also by the stability of the team management and the lack of restructuring costs.

Profit from operations (excluding football trading and amortisation)

Overall, our operating profit before football trading and amortisation, which is one of the key performance indicators for how the Club is performing as a cash-generating business, increased by 23% to £22.7m (2009: £18.4m).

Amortisation and impairment of intangible assets

Amortisation and impairment of intangible assets are £40.0m (2009: £37.3m) as the Club maintains its significant investment in its playing squad. With intangible assets (players) valued at £115.7m in the balance sheet it is clear that the historic cost of our team represents an enviable squad whose market value would be far in excess of its carrying value.

Profit on disposal of intangible assets

Profit on the disposal of intangible assets was £15.3m for the financial year (2009: £56.5m), which includes the sales of Darren Bent to Sunderland, Didier Zokora to Sevilla and Kevin-Prince Boateng to Portsmouth. The comparative figure for the prior period includes significant gains that were made on the sales of the registrations of Dimitar Berbatov and Robbie Keane.

Net finance expenses

Interest expense has reduced by £0.5m but a reduction in interest income has resulted in an increase in the net finance expense from £3.4m to £5.0m.

Taxation

The Group has incurred a tax charge of £0.1m in the current year at a tax rate of 28%. Therefore the loss after tax is £6.6m.

Balance sheet

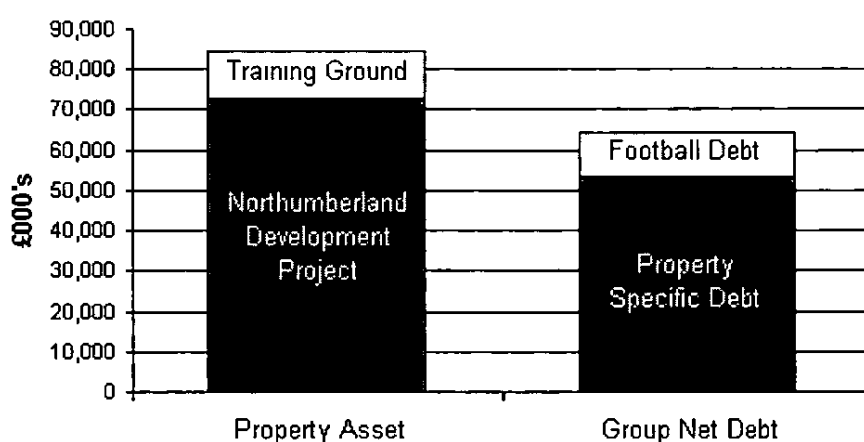
The most significant balance sheet movement relates to the continued investment in property, a further investment throughout the year in both the Training Ground build and the acquisition of property through Tottenham Hotspur Property Company Limited for the Northumberland Development Project (NDP) which contributed to a £20.2m increase in tangible assets.

We now hold tangible assets with a net book value of £123.6m on our balance sheet, the current Stadium, plant and equipment amounts to £38.9m of these assets, NDP £72.4m and the new Training Ground £12.3m. The current book value of the property which has been acquired to ensure we can deliver the NDP is £52.0m, with a further £20.4m being spent on planning and professional fees.

This huge investment over the past five years has been funded through equity contributions and long-term debt financing. An overview of the property segment extracted from the consolidated balance sheet shows the debt position in relation to the asset holding. Clearly it is important to highlight the difference between the Football Club and this long-term investment in assets.



Capital projects spend against Group net debt



This investment was recently underpinned by the granting of local planning consent for the NDP master plan

In August 2009, the Club placed 30 million new ordinary shares of 5p each, raising £15.0m to ensure that the Club's cash flow was not affected by the NDP. Group net assets grew to £70.5m (2009: £62.1m)

Cash flow

The Group had a net cash inflow from its operations of £19.9m for the year (2009: £29.9m)

We had a cash outflow of £62.0m (2009: £68.6m) to acquire players and pay contingent sums arising from transfer agreements, this is partially offset by £34.5m (2009: £47.2m) of cash inflows from player sales and contingent receipts with the residual outflow offset by operating profits

The other major cash movements were the drawdown of £3.8m in property loans to help fund the Northumberland Development Project and a £10.0m short-term loan from our banking facilities. The Group repaid £4.1m of other borrowings during the year

Risks and opportunities

The Group is exposed to a range of risks and uncertainties which have the potential to affect the long-term performance of the Group. Risks are monitored by the Board on a continual basis and the Group seeks to mitigate the risks wherever possible

Looking forward, the next major challenge our industry will face, from a financial perspective, will be the inevitable change that 'Financial Fair Play' will bring to the game. The essence of the change is to balance revenues and expenses. It was inevitable that UEFA would bring further control to the game and the Premier League has embraced these changes taking the view that it is better to be involved in a process than pushing against the inevitable

From the Club's perspective it vindicates our consistent approach to invest in the Club. It underlines our focus on investing in young talent and our Academy facilities, it necessitates the need for a new stadium, which is now more important to drive revenues to the next level, and it underlines our decision to work within our historic operational cash flows. We are well placed to meet the challenges of the future

Financial review

On the pitch

As we invest for the future the continued success of the First Team in the league, European and cup competitions remains an important part of our progression, particularly as we head off on a Champions League adventure which will test players and staff alike, as we raise our game to football's most elite competition

Our ambitions in these competitions can be achieved with the continued commitment of the playing staff, the football management team and supporters. Our successful approach to nurturing both home-grown talent and acquisitions through the transfer market will help the team to secure future success on the pitch

There is always continued upward pressure on player costs and salaries, which continue to require significant cash outflows. Accordingly, the challenge for the Group continues to be to locate players of both quality and value through the transfer market and Academy, the importance of this will be further highlighted by the introduction of Financial Fair Play

Off the pitch

The development of the new stadium will expose the Group to additional risks. The risk that we might not obtain the necessary financing would have a significant negative impact and require a write-off of some of the planning and professional fees paid to date. There is also a risk that the market value of the property held may reduce, however we are confident there are appropriate contingency plans in place to safeguard against this risk

We continue to explore new opportunities in order to broaden our range of income streams both nationally and internationally. This continued diversification of our income streams will help to ensure the Group is financially robust and increases our stability

The Club is reliant on the Premier League brand and exposed to external governing bodies of The FA, UEFA and FIFA. Clearly any changes in these bodies can affect our business model



Matthew Collecott

Finance Director

10 November 2010

Directors' report

The Directors present their Annual Report on the affairs of the Group together with the financial statements and Auditors' Report for the year ended 30 June 2010

Principal activities and business review

The principal activities of the Group continue to be the operation of a professional football club in England together with related commercial activities. In addition, the Group continues to acquire numerous properties with a view to a new stadium development. A review of the Group's business, an indication of the likely future developments of its business and a description of the principal risks and uncertainties facing the Group are contained in the Chairman's Statement and the Financial Review set out on pages 2 to 10.

Environmental matters and employee matters

The Group seeks to maintain its strong track record as a responsible employer. We seek to minimise the Group's impact on the environment and endeavour to achieve this through recycling and energy conservation wherever possible.

We are also committed to maintaining a workplace of the highest standard and seek to do so by ensuring that we provide training programmes, appropriate remuneration and a positive working environment.

Financial risk management objectives and policies

The Group is exposed to financial risk through its financial assets and liabilities. The key financial risk is that the proceeds from financial assets are not sufficient to fund the obligations arising from liabilities as they fall due. The most important components of financial risk are interest rate risk, currency risk, credit risk, liquidity risk, cash flow risk and price risk. Due to the nature of the Group's business the financial risks that the Directors consider particularly relevant to the Company are interest rate risk, currency risk and cash flow risk.

The Group addresses cash flow risk by carefully managing its working capital inflows and outflows. The Group hedges its interest exposure by using fixed interest rate facilities where it is deemed appropriate. The Group is exposed to foreign currency exchange risk through its player transactions but manages its working capital inflows and outflows to minimise any material foreign exchange risk. The Group does not enter into complex financial instruments for speculative purposes. Further information is provided in note 19 to the financial statements.

Results and dividends

The audited consolidated income statement for the year ended 30 June 2010 is set out on page 20.

The Directors have not recommended the payment of a dividend (2009: nil).

Post balance sheet events

Details of post balance sheet events are given in note 28 to the accounts.

Share capital

On 10 December 2009 the Directors were granted the authority, under a shareholders' resolution, to purchase through the market 18,407,581 of the Company's ordinary shares at prices ranging between 5p and a maximum of 105% of the average mid-market price quoted for the five business days prior to the purchase. A second resolution granted the authority to purchase through the market 8,739 of the Company's convertible redeemable preference shares ("CRPS") at prices ranging between £78.10 and a maximum of 105% of the average mid-market price quoted for the five business days prior to the purchase.

During the year the Company did not purchase any ordinary shares or any CRPS.

These authorities expire on 14 December 2010 and similar resolutions will be put to shareholders at an Annual General Meeting of the Company to be held on 14 December 2010 to ensure the Directors have the flexibility to enhance shareholders' value, and to enable the Board to reduce the long-term cost of servicing shareholders who have been prohibited from exiting their investments due to the comparatively high transaction cost of selling their shares.

Directors' report (continued)

Directors

None of the Directors who served during the year held a beneficial interest in the ordinary share capital of the Company at 30 June 2010

Daniel Levy and certain members of his family are potential beneficiaries of a discretionary trust which ultimately owns 29.41% of the share capital of ENIC International Limited (ENIC)

At the year end ENIC held 93,986,990 ordinary shares representing 76% of those in issue and 56,214 convertible redeemable preference shares, representing 97% of those in issue. During the year there was a placing of an additional 30 million ordinary shares of which ENIC acquired 27.8 million. Accordingly, ENIC has a fully diluted beneficial interest in Tottenham Hotspur plc of 85% at the time of signing these financial statements.

Except as noted above, none of the Directors has any other interests in the share capital of Tottenham Hotspur plc or any of its subsidiaries.

Matthew Collecott is a trustee of the Tottenham Hotspur Foundation, an unpaid position to assist the direction and performance of the Charity.

Details of the Directors' remuneration are given in the Remuneration Report on pages 17 and 18. Directors' interests in contracts are disclosed in note 25.

Disclosure of information to the auditors

In the case of each of the persons who are Directors of the Company at the date when this report was approved:

- 1 so far as each of the Directors is aware, there is no relevant audit information (as defined by the Companies Act 2006) of which the Company's auditors are unaware, and
- 2 each of the Directors has taken all of the steps that he ought to have taken as a Director to make himself aware of any relevant audit information (as defined) and to establish that the Company's auditors are aware of that information.

This information is given and should be interpreted in accordance with the provision of s418 of the Companies Act 2006.

Substantial shareholdings

The Company has received the following notification of holdings of 3% or more of the share capital of the Company as at 8 November 2010:

	Ordinary shares		Convertible redeemable preference shares	
	%	Number	%	Number
ENIC International Limited	76	93,986,990	97	56,214

Charitable and political donations

The Group made cash donations of £11,960 to international, UK-based and local charities during the year (2009: £26,450). The Group made no political donations during the year (2009: £nil). The Group made contributions with a value in excess of £0.5 million to the Tottenham Hotspur Foundation during the year. In addition, the Group makes many other contributions of Tottenham Hotspur Football Club memorabilia to local registered charities, especially in the Haringey and Enfield districts and adjacent catchment areas.

Disabled employees

Applications for employment by disabled persons are always considered fully, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the Group continues and appropriate training is arranged. It is the policy of the Group that the training, career development and promotion of disabled people, should as far as possible, be identical to that of other employees.

Employees consultation

The Group places considerable value on the involvement of its employees and has continued to keep them informed on matters affecting them as employees and on the various factors affecting the Group. This is achieved by departmental meetings and intranet notices.

Supplier payment policy

The Group's policy on payment of creditors is to negotiate payment terms when agreeing the terms of each transaction. In the majority of cases this involves payment within 30 days of the invoice date, however, where discounts are available it is generally the policy to pay earlier and benefit accordingly. Trade creditors at 30 June 2010 represented 56 days (2009: 43 days) of annual purchases. This figure excludes contracted creditors in respect of player purchases and capital costs which are paid on their contractual due dates.

Tangible fixed assets

In the opinion of the Directors, the current open market value of the Group's interests in land and buildings is in line with the book value.

Key performance indicators

The Directors monitor the business based on the key performance indicators as being revenue and operating profit/(loss) before tax and player trading as shown in the table on page 7.



Directors' report (continued)

Going concern

The Board of Directors continually monitors the Group's exposure to a range of risks and uncertainties, including the success of the First Team and our level of spending thereon, the current economic downturn and the need for additional funding requirements of a new stadium development. The Financial Review details these risks and uncertainties, the Group's financial performance and position for the year and its cash flows and funding position. In addition, note 19 to the financial statements includes the Group's objectives, policies and processes for managing its capital, its financial risk management objectives and its exposure to credit and liquidity risk. The Directors believe that these risks and uncertainties are mitigated by, inter alia, the robust nature of our business with long-term fixed revenues from the key business areas, notably the FAPL TV deal.

The Board of Directors has recently undertaken a thorough review of the Company's budgets and forecasts and have produced detailed and realistic cash flow projections. These cash flow projections which, when considered in conjunction with the Group's existing loans, overdrafts and cash, which included consideration of reasonably possible changes in trading performance and available banking facilities, demonstrate that the Group will have sufficient working capital for the foreseeable future. The Board of Directors acknowledges that the capital structure of the business will change as the Northumberland Development Project progresses, and is satisfied the necessary level of funding can be obtained. Consequently, the Directors believe that the Company has adequate resources to continue in operational existence for the foreseeable future and the financial statements have been prepared on the going concern basis.

Directors' indemnities

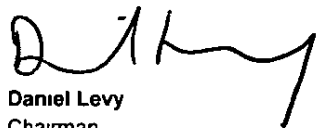
The Group has not made any qualifying third-party indemnity provisions for the benefit of its Directors during the year.

Auditors

Deloitte LLP were the Company's auditors during the year and have expressed their willingness to continue in office as auditors. A resolution to reappoint Deloitte LLP as the Company's auditors will be proposed at the forthcoming Annual General Meeting of the Company.

Annual General Meeting

The Annual General Meeting of the Company will be held on 14 December 2010 at the Company's Registered Office.



Daniel Levy
Chairman

10 November 2010

Corporate governance

Compliance with the Principles of Good Governance and Code of Best Practice as appended to the Listing Rules of the Financial Services Authority (the "Combined Code")

Introduction

The UK Listing Authority requires all listed companies to disclose how they have applied the principles of good governance and complied with the provisions set out in section 1 of the July 2003 FRC Combined Code (the "Code"). Although there is no requirement for an AIM-quoted company to comply with the Code, the Directors of Tottenham Hotspur plc (the "Company") have in recent years adopted it as best practice wherever practical and applicable to the size and operation of the Company. However in the year to 30 June 2010 the Company has not been able to comply with the provisions set out in section 1 of the code for part of the year because subsequent to 19 January 2009 there was only one Non-Executive Director, Sir K E Mills, following the resignation of Lord Davies of Abersoch. As a result the Company has not been able to comply with principles A3, B2 and C3 for the year, which recommend that the Board should include a balance of Executive and Non-Executive Directors and that the Remuneration and Audit Committees should comprise at least two independent Non-Executives.

There are currently two Executive Directors (D P Levy and M J Collecott), and the Board considers that it is adequate for two Executive Directors to deal with the management of the Public Limited Company (PLC) and four executives of the Football Club. Following the resignation of Lord Davies, the Group currently only has one Non-Executive Director, Sir K E Mills. The Board considers that Sir K E Mills has the ability and authority to ensure the current make up of the Board is appropriate for the Group and its shareholders.

There are three further principles that the Company does not currently comply with nor does the Board envisage it will comply with in the next year:

- 1 Principle A 2 states that there should be a clear division of responsibilities at the head of the Company between the running of the Board and the executive responsibility for the running of the Company's business. The roles of Chairman and Chief Executive are currently combined. As Chairman and Chief Executive, D P Levy is responsible for running both the Board and the Group's business. In the Board's view the independent Non-Executive Director has the ability and authority to ensure the Group and its shareholders are not disadvantaged by this combination of roles.
- 2 Principle A 4 states that there should be a nomination committee which should lead the process for Board appointments and make recommendations to the Board. The Board considers that a nomination committee is not appropriate due to the relatively small size of the Board, and
- 3 Principle A 6 states that the Board should undertake a formal and rigorous annual evaluation of its own performance and that of its committees and individual Directors. The Board does not feel it necessary to operate a formal Board evaluation policy because, due to the frequency with which the Board meets (as noted below), any issues concerning the performance of an individual Director would be promptly identified and, if necessary, rectified.

Furthermore, Provision A 3 states that the Board should state its reasons if it determines that a Director is independent notwithstanding the existence of relationships or circumstances which may appear relevant to its determination, including if the Director has had a material business relationship with the Company as a senior employee of a body that has such a relationship with the Company.

The Board and its Directors

The Executive and Non-Executive Directors are named above. Further details about the Directors are contained within 'The Club' section of the Club's website tottenhamhotspur.com.

Non-Executive Directors are appointed for an initial term of a year and their service contracts provide for a notice period of three months. They are independent of management and free from any business or other relationship, which could materially interfere with the exercise of their independent judgement. All Directors are subject to re-election at the first Annual General Meeting following their appointment. The Articles of Association also provide for one-third of the Board to retire by rotation at each Annual General Meeting.

The Board met formally on six occasions during the year to discuss matters specifically reserved for decision by the full Board, which have been separately defined. In addition the Board meets informally on many occasions throughout the year when attending both home and away Tottenham Hotspur fixtures.

The Board is responsible for the development of commercial strategy, monitoring and approval of major business matters and the approval of the financial statements. Prior to each meeting, the Board is furnished with timely financial and non-financial information in a form and quality for it to discharge its duties.

The ultimate responsibility for reviewing and approving the Annual and Interim Reports and for ensuring that they present a balanced assessment of the Group's position lies with the Board.

Corporate governance (continued)

The Board and its Directors *continued*

The Board has established a number of committees and delegates the day-to-day responsibility of managing the Group to the Executive Directors. There are two principal committees of the Board, the Audit and the Remuneration Committees, both of which have defined terms of reference and duties.

The specific terms of reference for all of the Committees may be obtained from the Company Secretary at the Registered Office. The terms and conditions on which Non-Executive Directors are appointed may also be obtained from the Company's Registered Office.

The Company Secretary attends all of the Board and Committee meetings and is responsible for the preparation and distribution of all agenda, minutes and related Board and Committee papers.

A procedure has been established by which Directors are able to take independent professional advice and obtain the appropriate training, deemed necessary in the pursuance of their duties, at the expense of the Company.

Audit Committee

The Audit Committee (Chairman: Sir K E Mills), which met on three occasions during the year, has responsibility for, among other things, reviewing the scope and results of the audit, the overview of the Annual Report, considering compliance with legal requirements, accounting standards, the AIM rules of The London Stock Exchange, for advising the Board on the requirement to maintain an effective system of internal control and for reviewing the arrangements by which staff of the Company may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters.

The Audit Committee meets the external auditors independently from the Executive Directors and reviews matters brought to its attention by the external auditors. The Committee also reviews the objectivity, approach and cost effectiveness of both their audit and non-audit services. In accordance with best practice, the external auditors have confirmed their audit independence in writing to the Committee.

The Committee recommended to the Board that Deloitte LLP be proposed for reappointment at the forthcoming Annual General Meeting. This recommendation has been accepted and will be proposed to the shareholders.

Remuneration Committee

The Remuneration Committee (Chairman: Sir K E Mills), which met on two occasions during the year, has responsibility for making recommendations to the Board, within agreed terms of reference, on the Company's policy on remuneration and the individual remuneration packages for the Executive Directors, including any compensation payments. Remuneration packages are established when the Directors are appointed.

The Executive Directors may attend meetings at the invitation of the Committee but are not included in discussions concerning their own remuneration package.

A report on Directors' remuneration is set out on pages 17 and 18.

Internal control

The Board complies with the Combined Code recommendations and revised guidance on internal control and maintains a sound system of internal control to safeguard shareholders' investments and Company assets.

The Board is responsible for the Group's system of internal control. A process of identifying, evaluating and managing the significant risks faced by the Group was in place from the start of the year and to the date of approval of the Annual Report, and is in accordance with Turnbull guidance. Any system of controls can, however, only provide reasonable and not absolute assurance against material misstatement and loss.

The key features of the financial controls of the Group, which have been in place throughout the year ended 30 June 2010 and up to the date of approval of this Annual Report, include a comprehensive system of financial reporting, budgeting and forecasting, and clearly communicated accounting policies and procedures. Financial control is monitored centrally and authorisation of expenditure is closely monitored by the Executive Directors. The Executive Directors receive selected information daily. Income statement, balance sheet and cash flow information is prepared each month and reviewed by relevant Executives. The Board is furnished with regular financial information. The public release of the Annual and Interim Reports is not made until it has been reviewed by the Board.

In addition to financial controls, there is an established "whistle blowing" procedure in place where employees may, in confidence, raise concerns about possible improprieties in matters of financial reporting or other matters. Working groups have also been established involving management, external consultants and operational staff at all levels. Cross-group meetings take place to ensure that the risks arising are reviewed, communicated and clearly understood and steps have been taken to ensure the controls in place mitigate, minimise or prevent their eventuality. The Executive Directors discuss key issues at Board meetings. The Board feels that this allows it to review the effectiveness of internal controls and is sufficient to ensure that key risks are identified in a timely manner, evaluated by the correct level of management, and mitigated, where possible, through a system of control measures and reported upon satisfactorily. Given the Group's size the Board does not consider that it would be appropriate to have its own internal audit function at present.

Corporate governance (continued)

Financial reporting

Detailed reviews of the year are included in the Chairman's Statement and Financial Review on pages 2 to 10. The Board uses these and the Directors' Report to present a balanced and understandable assessment of the Company's position and future prospects. The Directors' responsibilities for the preparation of the financial statements are described below.

Relationships with shareholders

The Board recognises the importance of maintaining strong relationships with its shareholders. The Directors seek to build on a mutual understanding of objectives between the Company and shareholders and communicate with private and institutional investors through the Club's website, tottenhamhotspur.com and all other media channels available to them.

All shareholders will be given at least 21 working days' notice of the forthcoming Annual General Meeting at which the Executive and Non-Executive Directors and key staff will be available to answer questions from shareholders.

Directors' responsibilities statement

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors are required to prepare the Group financial statements in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union and Article 4 of the IAS Regulation and have elected to prepare the parent company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the Directors must not approve the accounts unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing the parent company financial statements, the Directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

In preparing the Group financial statements, International Accounting Standard 1 requires that Directors

- properly select and apply accounting policies,
- present information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information,
- provide additional disclosures when compliance with the specific requirements in IFRS are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the entity's financial position and financial performance, and
- make an assessment of the Company's ability to continue as a going concern.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company, and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

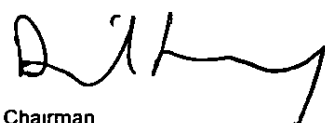
The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Responsibility statement

We confirm that to the best of our knowledge

- the financial statements, prepared in accordance with the relevant financial reporting framework, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Company and the undertakings included in the consolidation taken as a whole, and
- the management report, which is incorporated into the Directors' Report, includes a fair review of the development and performance of the business and the position of the Company and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face.

By order of the Board



Chairman
Daniel Levy
10 November 2010



Finance Director
Matthew Collecott
10 November 2010

Remuneration report

Introduction

This report has been prepared in accordance with the Companies Act 2006 (the "Act")

As required by the Act, a resolution to approve the report will be proposed at the Annual General Meeting of the Company at which the financial statements will be approved

The Act requires the auditors to report to the Group's members on certain parts of the Remuneration Report and to state whether, in their opinion, those parts of the report have been properly prepared in accordance with the Companies Act 2006. The report has therefore been divided into separate sections for audited and unaudited information

Unaudited information

Policy on the remuneration and incentivisation of employees

In order to ensure that the Group attracts, retains and motivates Executives, the policy of the Board is to ensure that the remuneration of the Directors and senior management reflects their duties, experiences and responsibilities

All Executive Directors have contracts with an indefinite term providing for a maximum of one year's notice. The service contracts of all Executive Directors provide for one year's compensation on termination

All Non-Executive Directors have specific terms of engagement and their remuneration is determined by the Board within the limits set by the Articles of Association and based on independent surveys of fees paid to Non-Executive Directors of similar companies. Non-Executive Directors cannot participate in any of the Company's share option schemes

Remuneration package

There are five main elements of the remuneration package for Executive Directors and senior management

- 1 basic annual salary (including Directors' fees) and benefits,
- 2 annual bonus payments,
- 3 share option incentives,
- 4 pension arrangements, and
- 5 performance-based loyalty scheme

Basic annual salary and benefits

Executive Directors, with the exception of the Chairman, are paid a basic salary, which is reviewed annually by the Remuneration Committee. The basic salary reflects the Executive's experience and job responsibilities. The Remuneration Committee also takes into account information from independent sources on the rates of salary for similar jobs in a selected group of comparable companies. The fees for the Chairman of the Group, D P Levy, are payable to ENIC Group. These fees are reviewed annually by the Remuneration Committee. In addition to a basic salary, the Executive Directors are entitled to be provided with certain benefits-in-kind, principally the provision of private healthcare and a fully-expensed company car

Annual bonus payments

Bonuses, where paid, are defined by the Company's Executive Incentive Scheme, which predefines specific key performance indicators against which the Remuneration Committee evaluates the Executive's performance in light of business risk and economic climate

Share option incentives

An Executive Share Option Scheme exists for both Executive Directors and employees. At the current time the Group has chosen not to remunerate its employees and Directors with share options. No share options have been issued to employees and Directors since 4 April 1999. This policy will continue to be reviewed each financial year. Options granted previously were made on a discretionary basis by the Board

Pension arrangements

The Company does not operate its own pension scheme but a stakeholder pension scheme is available to all employees. During the year the Company made payments to an external scheme on behalf of M J Collecott. The only element of remuneration which is pensionable is the basic annual salary

Performance-based loyalty scheme

Aggregate emoluments of Directors disclosed below do not include any amounts in respect of the senior executives' loyalty bonus scheme, a scheme which was awarded in January 2007. For the current year M J Collecott's award could equate to £150,000 subject to the criteria below being met. This same amount would accrue for each of the next two years and be receivable in tranches as outlined below

Notes

- Amounts payable in two tranches: the first after three years from the commencement date (the date the executive is informed of his bonus) and the second after five years from the same date
- During the year the first tranche was paid following achievement of aggregate earnings before interest, tax, depreciation and amortisation (EBITDA) of £45m or more over the three year ends following the commencement date
- The payment of the second tranche is conditional on the above conditions being met as well as achieving aggregate EBITDA of £30m per annum in the fourth and fifth years after commencement and
- Executive Directors are only entitled to receive their entitlement provided they remain in employment at the date they are entitled to receive their first and second tranches

Remuneration report (continued)

Audited information

Directors' remuneration

The aggregate emoluments of the Directors of the Company for the year were £1,835,657 (2009 £927,999) Contributions to pension schemes were £23,500 (2009 £23,500) as detailed below

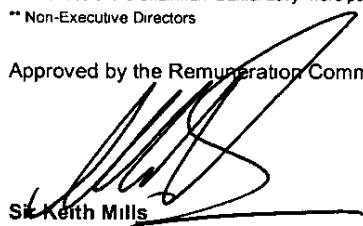
Details of the remuneration of the Directors individually and in total are shown below

							Year to 30 June 2010	Year to 30 June 2009
	Fees £	Salary £	Bonus £	Benefits- in-kind £	Sub total £	Pension £	Total £	Total £
D P Levy*	675,000	-	675,000	-	1,350,000	-	1,350,000	675,000
M J Collecott	-	235,000	235,000	10,657	480,657	23,500	504,157	266,499
Lord Davies of Abersoch** (resigned 16 January 2009)	-	-	-	-	-	-	-	5,000
Sir K E Mills**	5,000	-	-	-	5,000	-	5,000	5,000
	680,000	235,000	910,000	10,657	1,835,657	23,500	1,859,157	951,499

* The fees of the Chairman Daniel Levy were paid to ENIC Group

** Non-Executive Directors

Approved by the Remuneration Committee



Sir Keith Mills

Chairman of the Remuneration Committee
10 November 2010

Independent auditors' report

For the year ended 30 June 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF TOTTENHAM HOTSPUR PLC

We have audited the Group financial statements of Tottenham Hotspur plc for the year ended 30 June 2010 which comprise the Consolidated Income Statement, the Consolidated Balance Sheet, the Consolidated Statement of Changes in Equity, the Consolidated Cash Flow Statement and the related notes 1 to 28. The financial reporting framework that has been applied in their preparation is applicable law and International Financial Reporting Standards (IFRS) as adopted by the European Union.

This report is made solely to the Company's members, as a body, in accordance with chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of Directors and auditors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the Group financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit the Group financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Group's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the Directors, and the overall presentation of the financial statements.

Opinion on financial statements

In our opinion the Group financial statements

- give a true and fair view of the state of the Group's affairs as at 30 June 2010 and of its loss for the year then ended,
- have been properly prepared in accordance with IFRS as adopted by the European Union, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the Group financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following:

Under the Companies Act 2006 we are required to report to you if, in our opinion:

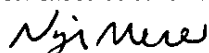
- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us, or
- the parent company financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of Directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit.

Although not required to do so, the Directors have voluntarily chosen to make a corporate governance statement detailing the extent of their compliance with the June 2008 FRC Combined Code. We reviewed:

- the Directors' statement in relation to going concern, and
- the part of the Corporate Governance Statement relating to the Company's compliance with the nine provisions of the June 2008 Combined Code specified for our review.

Other matters

We have reported separately on the parent company financial statements of Tottenham Hotspur plc for the year ended 30 June 2010 and on the information in the Directors' report described as having been audited.



Nigel Mercer

(Senior Statutory Auditor)

for and on behalf of Deloitte LLP

Chartered Accountants and Statutory Auditors

London, United Kingdom

10 November 2010

Consolidated income statement

for the year ended 30 June 2010

	Note	Year ended 30 June 2010			Year ended 30 June 2009		
		Operations, excluding football trading* £'000	Football trading* £'000	Total £'000	Operations, excluding football trading* £'000	Football trading* £'000	Total £'000
Revenue	3	119,814	-	119,814	113,012	-	113,012
Operating expenses	4	(97,140)	(39,466)	(136,606)	(94,622)	(38,099)	(132,721)
Operating profit/(loss)		22,674	(39,466)	(16,792)	18,390	(38,099)	(19,709)
Profit on disposal of intangible fixed assets	7	-	15,250	15,250	-	56,500	56,500
Profit/(loss) from operations	5	22,674	(24,216)	(1,542)	18,390	18,401	36,791
Finance income	8			1,358			4,563
Finance costs	8			(6,355)			(7,956)
(Loss)/profit on ordinary activities before taxation				(6,539)			33,398
Tax	9			(108)			(10,234)
(Loss)/profit for the period	22			(6,647)			23,164
Attributable to Equity holders of the parent				(6,647)			23,164
(Loss)/earnings per share from continuing operations – basic	10			(5 6p)			25 0p
(Loss)/earnings per share from continuing operations – diluted	10			(5 6p)			12 9p

* Football trading represents amortisation, impairment and profit/(loss) on disposal of intangible fixed assets and other football trading-related income and expenditure

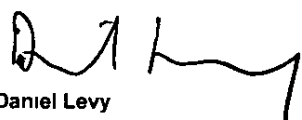
There were no other gains or losses in either the current or prior year, accordingly no consolidated statement of comprehensive income is presented

Consolidated balance sheet
as at 30 June 2010

	Note	30 June 2010 £'000	30 June 2009 £'000
Non-current assets			
Property, plant and equipment	11	123,552	103,338
Intangible assets	12	115,660	128,432
		239,212	231,770
Current assets			
Inventories	13	1,066	1,172
Trade and other receivables	14	35,909	37,738
Current tax receivable		697	1,104
Cash and cash equivalents	15	11,285	19,622
		48,957	59,636
Total assets		288,169	291,406
Current liabilities			
Trade and other payables	16	(86,776)	(89,579)
Interest bearing loans and borrowings	16	(24,117)	(13,810)
Provisions	16/18	(1,595)	(1,211)
		(112,488)	(104,600)
Non-current liabilities			
Interest bearing overdrafts and loans	17	(65,761)	(66,504)
Trade and other payables	17	(18,833)	(37,871)
Deferred grant income	17	(2,127)	(2,211)
Deferred tax liabilities	17/18	(18,459)	(18,157)
		(105,180)	(124,743)
Total liabilities		(217,668)	(229,343)
Net assets		70,501	62,063
Equity			
Share capital	20	6,177	4,640
Share premium		25,217	11,638
Equity component of convertible redeemable preference shares ("CRPS")	20	3,774	3,805
Revaluation reserve	22	-	2,240
Capital redemption reserve		595	595
Retained earnings		34,738	39,145
Total equity	22	70,501	62,063

These financial statements (Company number 1706358) were approved by the Board of Directors and authorised for issue on 10 November 2010

Signed on behalf of the Board of Directors



Daniel Levy
Chairman
10 November 2010

Consolidated statement of changes in equity
for the year ended 30 June 2010

	Share capital account £ 000	Share premium account £'000	Equity component of CRPS £ 000	Revaluation reserve £ 000	Capital redemption reserve £ 000	Profit and loss account £'000	Total £ 000
Balance as at 1 July 2009	4,640	11,638	3,805	2,240	595	39,145	62,063
Loss for the year	-	-	-	-	-	(6,647)	(6,647)
Transfer of revaluation reserve	-	-	-	(2,240)	-	2,240	-
CRPS converted in the period	37	79	(31)	-	-	-	85
Ordinary share issue	1,500	13,500	-	-	-	-	15,000
At 30 June 2010	6,177	25,217	3,774	-	595	34,738	70,501

For the year ended 30 June 2009

	Share capital account £ 000	Share premium account £ 000	Equity component of CRPS £ 000	Revaluation reserve £ 000	Capital redemption reserve £ 000	Profit and loss account £'000	Total £ 000
Balance as at 1 July 2008	4,639	11,637	3,806	2,288	595	19,645	42,610
Profit for the year	-	-	-	-	-	23,164	23,164
Amortisation of revaluation reserve	-	-	-	(48)	-	48	-
CRPS converted in the period	1	1	(1)	-	-	-	1
Final dividend on equity shares relating to the year ended 30 June 2008	-	-	-	-	-	(3,712)	(3,712)
At 30 June 2009	4,640	11,638	3,805	2,240	595	39,145	62,063

Consolidated statement of cash flows
for the year ended 30 June 2010

		Year ended 30 June 2010	Year ended 30 June 2009
	Note	£ 000	£ 000
Cash flow from operating activities			
(Loss)/profit from operations		(1,542)	36,791
Adjustments for			
Amortisation and impairment of intangible assets		39,990	37,288
Profit on disposal of intangible assets		(15,250)	(56,500)
Profit on disposal of property, plant and equipment		-	(3)
Depreciation of property, plant and equipment		2,423	2,842
Capital grants release		88	66
Foreign exchange (gain)/loss		(755)	2,235
(Increase)/decrease in trade and other receivables		(4,865)	12,928
Decrease in inventories		107	712
Decrease in trade and other payables		(344)	(6,415)
Cash flow from operations		19,852	29,944
Interest paid		(3,071)	(4,342)
Interest received		83	1,080
Income tax refund/(paid)		602	(750)
Net cash flow from operating activities		17,466	25,932
Cash flows from investing activities			
Acquisitions of property, plant and equipment, net of proceeds		(22,984)	(32,048)
Acquisitions of intangible assets		(61,992)	(68,609)
Proceeds from sale of intangible assets		34,499	47,180
Net cash flow from investing activities		(50,477)	(53,477)
Cash flows from financing activities			
Dividends paid		-	(3,712)
Ordinary share issue		15,000	-
Proceeds from borrowings		13,750	19,612
Repayments of borrowings		(4,076)	(4,016)
Net cash flow from financing activities		24,674	11,884
Net decrease in cash and cash equivalents		(8,337)	(15,661)
Cash and cash equivalents at start of the period		19,622	35,283
Cash and cash equivalents at end of year	15	11,285	19,622

Notes to the consolidated accounts (continued)

1 Accounting policies and critical accounting judgements

The following accounting policies have been applied consistently by the Directors in both the current and preceding periods in dealing with items which are considered material in relation to the Group's accounts

Going Concern

The Directors have, at the time of approving the financial statements, a reasonable expectation that the Company and the Group have adequate resources to continue in operational existence for the foreseeable future. Thus they continue to adopt the going concern basis of accounting in preparing the financial statements. Further detail is contained in the Directors' report on page 13.

Tottenham Hotspur plc is a company incorporated in Great Britain. The nature of the Group's operations and its principal activities are set out in the Directors' report on page 11.

Basis of accounting

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS). The financial statements have also been prepared in accordance with IFRS adopted by the European Union and therefore the Group financial statements comply with Article 4 of the EU IAS regulation. The financial statements have been prepared on a historical cost basis, except for the revaluation of certain properties.

Basis of consolidation

The Group financial statements incorporate the financial statements of Tottenham Hotspur plc (the "Company") and entities controlled by the Company (its subsidiaries) made up to 30 June each year. Control is achieved where the Company has the power to govern the financial and operating policies of an investee entity so as to obtain benefit from its activities.

The results of subsidiaries acquired during the year are included in the consolidated income statement from the effective date of acquisition.

Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business, net of discounts, VAT and other sales-related tax.

Merchandising revenue is recognised when goods are delivered and title has passed.

Gate receipts and other matchday revenue are recognised as the games are played. Sponsorship and similar commercial income is recognised over the duration of the respective contracts. The fixed element of broadcasting revenues is recognised over the duration of the football season whilst facility fees received for live coverage or highlights are taken when earned. Merit awards are accounted for only when known at the end of the football season.

Grants receivable

Grants receivable are credited to a deferred credit account and released to the income statement over the estimated useful life of the asset in respect of which they are receivable.

Foreign exchange

Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in a foreign currency are translated into Sterling at the exchange rates ruling on the balance sheet dates. Translation differences are dealt with in the income statement.

Player costs and transactions

(a) Initial capitalisation

The costs associated with the acquisition of player and key football management staff registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring players and key football management staff registrations.

(b) Amortisation discounted

These costs are fully amortised on a straight-line basis over their useful economic lives, in equal annual instalments over the period of the respective contracts. Where a contract life is renegotiated the unamortised costs, together with the new costs relating to the contract extension, are amortised over the term of the new contract.

(c) Contingent consideration

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

(d) Impairment

The Group will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The Group compares the carrying amount of the asset with its recoverable amount.

The Group does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Furthermore, the Group also considers that all of the players are unable to generate cash flows even when considered together. Accordingly the Group considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Group calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Group's existing operations and any future capital expenditure on the ground and First Team squad). The Group compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Group does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the Group's senior football management and Directors which, as a consequence, means the Group consider it highly unlikely he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of

Notes to the consolidated accounts (continued)

1 Accounting policies and critical accounting judgements *continued*

the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Group's best estimate of his fair value less costs to sell. The Group estimates this using one of the following sources:

- in the case of a player who has permanently fallen out with the Group's senior football management and Directors either the agreed selling price in the event the player has been transferred subsequent to the year end, or
- if there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the Group's senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Group and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value, or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Group's insurers

(e) Disposals

Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(f) Remuneration

Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation.

Signing-on fees are charged evenly, as part of operating expenses, to the income statement over the period of the player's contract. These fees are paid over the period of the player's contract. Loyalty fees are accrued, as part of operating expenses, to the income statement for the period to which they relate.

Finance costs

Finance costs of borrowings are recognised in the income statement using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowing.

In accordance with IAS 39 'Financial Instruments: recognition and measurement', any non-current assets acquired on deferred terms are recorded at the discounted present value at the date of acquisition. The associated payable is then increased to the settlement value over the period of deferral, with this value being charged as a notional finance cost through the income statement.

Similarly any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as a notional finance income through the income statement.

In respect of intangible asset acquisitions, the differing rate at which the finance cost and amortisation are recognised in the income statement produces a deferred tax credit. In respect of intangible asset disposals, the finance income recognised produces a deferred tax asset. The adjustments are stated net of deferred tax.

Tax

The tax expense represents the sum of the tax currently payable and deferred tax.

The tax currently payable is based on taxable profit for the year. Taxable profits differ from net profit as reported in the income statement because they exclude items of income or expense that are taxable or deductible in other years and they further exclude items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been substantively enacted by the balance sheet date.

Deferred tax is the tax expected to be payable on the differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised.

Deferred tax is charged or credited in the income statement.

Property, plant and equipment

Freehold land is not depreciated. Leasehold property is amortised over the term of the lease. Other fixed assets are depreciated on a straight-line basis at annual rates appropriate to their estimated useful lives as follows:

Freehold properties	2%
Motor vehicles	20%
General plant and equipment	10% – 33%

The Group capitalises costs in relation to an asset when economic benefit from the asset is considered probable. Assets under the course of construction are carried at cost and include professional fees. Depreciation commences when the assets are ready for their intended use.

Inventories

Inventories, which comprise goods held for resale, are valued at the lower of cost and net realisable value using the average cost method.

Debt

Debt is stated initially at the amount of the net proceeds after deduction of issue costs. The carrying amount is increased by the finance cost in respect of the accounting period and reduced by payments made in the accounting period.

Convertible redeemable preference shares

CRPS are regarded as compound instruments, consisting of a liability component and an equity component. At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible debt. The difference between the proceeds of issue of the CRPS and the fair value assigned to the liability component, representing the embedded option to convert the liability into equity of the Group, is included in equity.

1 Accounting policies and critical accounting judgements *continued*

Notes to the consolidated accounts (continued)

Issue costs are apportioned between the liability and equity components of the CRPS based on their relative carrying amounts at the date of issue. The portion relating to the equity component is charged directly against equity.

The interest expense on the liability component is calculated by applying the prevailing market interest rate for similar non-convertible debt to the liability component of the instrument. The difference between this amount and the interest paid is added to the carrying amount of the liability component.

Leases

Rental costs under operating leases are charged to the income statement in equal annual amounts over the periods of the leases.

Pension costs

Payments are made to the external defined contribution pension schemes of eligible employees of the Group. The pension cost charged in the year represents contributions payable by the Group to these schemes.

In addition the Group is making contributions in respect of its share of the deficit of the defined benefit section of the Football League Pension and Life Assurance Scheme (the "Scheme"). A provision has been established for the Group's share of the deficit which exists in this section of the Scheme.

Under the provisions of IAS 19 'Employee Benefits' the Scheme would be treated as a defined benefit multi-employer scheme. The Scheme's actuary has advised that the participating employers' share of the underlying assets and liabilities cannot be identified on a reasonable and consistent basis and, accordingly, no disclosures are made under the provisions of IAS 19.

New standards and interpretations

The accounting policies applied by the Group in these consolidated financial statements are the same as those applied by the Group in its consolidated financial statements as at and for the year ended 30 June 2009 except as described below.

In the current financial year, the Group has adopted International Accounting Standard 1 'Presentation of Financial Statements' (revised 2007) (IAS 1), International Financial Reporting Standard 8 'Operating Segments' (IFRS 8), and IAS 23 (revised 2007) 'Borrowing Costs'.

The implementation of IAS 1 (revised 2007) has not resulted in any significant changes to disclosures in the current year. IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chairman to allocate resources to the segments and to assess their performance. In contrast, the predecessor Standard (IAS 14 "Segment Reporting") required the Group to identify two sets of segments (business and geographical), using a risks and rewards approach, with the Group's system of internal financial reporting to key management personnel serving only as the starting point for the identification of such segments. Information reported to the Group's Chairman for the purposes of resource allocation and assessment of segment performance is focused on (1) the underlying football operations of the Group and (2) the proposed Northumberland Development Project and Training Centre. As such, the implementation of IFRS 8 has resulted in no significant changes to those previously made under IAS 14.

The implementation of IAS 23 (revised 2007) has not had any impact on these financial statements although as the principal change to the Standard is to eliminate the option to expense all borrowing costs when incurred the Directors consider this may have a significant impact in future years.

Other standards introduced during the period had no impact on these financial statements.

The Directors anticipate that the adoption of those Standards and Interpretations which, at the date of authorisation of these Group financial statements, were in issue but not yet effective will have little or no impact on the Group's financial statements when they come into effect.

Critical accounting judgements and estimates

In the application of the Group's accounting policies, which are described in note 1, the Directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are:

Contingent liabilities

Current liabilities and provisions contain contingent bonuses payable to Directors, players and clubs and are based on the best information available to management at the balance sheet date. However, the future costs assumed are inevitably only estimates, which may differ from those ultimately incurred.

Recoverable amount of non-current assets

All non-current assets, including property, plant and equipment and intangible assets, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to future ticket income, media and sponsorship revenue and on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect the recoverable value of the asset.

Current taxation

The complex nature of tax legislation under which the Group operates necessitates the use of many estimates and assumptions, where the outcome may differ from that assumed.

Financial assets and liabilities

Financial assets and liabilities are recognised in the Group's balance sheet where the Group becomes a party to the contractual provisions of the asset/liability.

Notes to the consolidated accounts (continued)

1 Accounting policies and critical accounting judgements *continued*

Impairment of financial assets

All financial assets are assessed for indicators of impairment at each balance sheet date

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled, or they expire

Property, plant and equipment

The assets classified under "in the course of construction" relate to the Group's two main ongoing capital projects: the proposed Northumberland Development Project (NDP) and the development of the new Training Centre. IAS 16 requires that for an asset to be capitalised it must result in a probable economic benefit.

On 30 September 2010 the Planning Committee of Haringey Council approved the planning application for the NDP. The application is currently being considered by the Mayor of London and the Secretary of State. In order for the NDP to continue to generate a probable economic benefit, the Directors have had to assess the likelihood of planning permission not being overturned, obtaining financing and generating sufficient demand to fill an enlarged stadium. Although the NDP is in its early stages the Directors remain confident that planning permission will not be overturned, the Group will obtain the necessary funding and that there will be sufficient demand to fill the enlarged stadium. The Directors have produced detailed cash flow projections and have performed sensitivity analysis on these and are confident that the NDP will proceed. The NDP will be closely monitored and any amounts capitalised, which would not be recoverable in the event that the NDP does not proceed such as professional fees and properties whose market value is below cost, would need to be written off at that time. During the year, work started on the new Training Centre. The Directors believe that the new Training Centre will reach completion over the next two years.

Notes to the consolidated accounts (continued)

2 Operating segments

All revenues disclosed are derived from external customers. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 1. Segment operating profit represents the profit earned by each segment without allocation of central administration costs and certain recharges. This is the measure reported to the Group's Board for the purpose of resource allocation and assessment of segment performance.

Class of business	Football		Property		Group	
	2010 £'000	2009 £'000	2010 £'000	2009 £'000	2010 £'000	2009 £'000
Revenue	118,955	112,242	859	770	119,814	113,012
Segment operating profit/(loss)	22,808	18,631	(134)	(241)	22,674	18,390
Player trading operating costs	(39,466)	(38,099)	-	-	(39,466)	(38,099)
Profit on disposal of player registrations	15,250	56,500	-	-	15,250	56,500
Net finance charges	(4,362)	(2,810)	(635)	(583)	(4,997)	(3,393)
(Loss)/profit before taxation	(5,770)	34,222	(769)	(824)	(6,539)	33,398
Property, plant and equipment	38,890	40,947	84,662	62,391	123,552	103,338
Intangible assets	115,660	128,432	-	-	115,660	128,432
Non-current assets	154,550	169,379	84,662	62,391	239,212	231,770
Total assets	205,965	230,927	82,204	60,479	288,169	291,406
Total liabilities	(128,704)	(166,248)	(88,964)	(63,095)	(217,668)	(229,343)
Segment net assets/(liabilities)	77,261	64,679	(6,760)	(2,616)	70,501	62,063

The vast majority of the Group's operations are conducted in the United Kingdom.

3 Revenue

Revenue, which is almost all derived from the Group's principal activity, is analysed as follows:

	2010 £'000	2009 £'000
Revenue comprises		
Gate receipts – Premier League	20,123	19,792
Gate receipts – cup competitions	6,726	8,065
Sponsorship and corporate hospitality	25,763	27,363
Media and broadcasting	51,519	44,811
Merchandising	7,793	6,960
Other	7,890	6,021
	119,814	113,012

All revenue except for £859,000 (2009: £770,000) derives from the Group's principal activity in the United Kingdom and is shown exclusive of VAT.

In addition to the amounts shown, the Group recognised finance income of £1,358,000 in 2010 and £4,563,000 in 2009 as set out in note 8. Consequently total revenue is £121,172,000 (2009: £117,575,000).

4 Operating expenses

	2010 £'000	2009 £'000
Staff costs	67,073	60,468
Depreciation of property, plant and equipment	2,770	2,842
Other operating costs	27,297	31,312
Operating expenses excluding football trading	97,140	94,622
Amortisation, impairments and other net football trading income and expenditure	39,466	38,099
Total operating expenses	136,606	132,721

Notes to the consolidated accounts (continued)

5 Profit/(loss) from operations

This is stated after charging/(crediting) the following

	2010 £'000	2009 £'000
Depreciation of property, plant and equipment		
– owned	2,770	2,842
Amortisation of intangible fixed assets	39,991	37,288
Amortisation of grants	(88)	(66)
Restructuring	-	2,822
Charitable donations	12	27
Operating lease rentals		
– land and buildings	277	289
– other	167	153
Foreign exchange (gain)/loss	(801)	2,272

The analysis of auditors' remuneration is as follows

	2010 £'000	2009 £'000
Fees payable to the Company's auditors for statutory services		
– audit of the Company's accounts	20	20
– audit of the accounts of the Company's subsidiaries	65	65
Total audit fees	85	85
Other services		
– tax services	259	130
– other services pursuant to legislation	10	22
– other services	5	46
Total non-audit fees	274	198
Total fees	359	283

Fees for the audit of the Company's subsidiaries accounts represent the fees payable to Deloitte LLP in respect of the audit of the Company's individual financial statements prepared in accordance with UK GAAP and the audit of the Company's accounts represents the audit of the Group's consolidated financial statements prepared in accordance with IFRS

Tax services relate mainly to assessing the tax implications of significant corporate transactions. Other services relate primarily to providing advice on accounting matters.

Notes to the consolidated accounts (continued)

6 Staff numbers and costs

The average number of employees of the Group during the year, including Executive Directors, was as follows

	2010 Number	2009 Number
Players and football administration staff	142	148
Administration staff	100	92
Retail and distribution staff	48	46
	290	286

Administration staff for 2010 includes a headcount of 9 (2009 nil) Football Development staff, who were employed by Tottenham Hotspur Foundation in 2009

The aggregate payroll costs of these employees was as follows

	£'000	£'000
Salaries and bonuses	59,408	53,577
Social security costs	7,092	6,496
Other pension costs	573	395
	67,073	60,468

In addition the Group employs, on average, 584 temporary staff on match days (2009 577)

In addition to the above payroll costs, redundancy costs of £129,682 (2009 £2,098,935) were also charged to the income statement during the year

7 Profit on disposal of intangible fixed assets

	2010 £'000	2009 £'000
Proceeds	26,122	72,539
Net book value of disposals	(10,872)	(16,039)
	15,250	56,500

8 Finance income and costs

	2010 £'000	2009 £'000
Interest income	83	1,080
Notional interest income on deferred receipts for sales of players' registrations	1,275	3,483
	1,358	4,563

	2010 £'000	2009 £'000
Interest expense	(2,779)	(3,272)
Notional interest expense on deferred payments for players' registrations	(3,257)	(4,036)
Amortisation of debt issue costs	(83)	(90)
Interest charge on CRPS liability	(236)	(558)
	(6,355)	(7,956)

Notes to the consolidated accounts (continued)

9 Tax charge on ordinary activities

	2010 £'000	2009 £'000
Current tax		
UK corporation tax charge on profits for the year	-	1,888
Other prior year adjustments	(194)	(60)
Current tax (credit)/charge	(194)	1,828
Deferred tax		
Origination and reversal of timing differences	(60)	(390)
Rollover relief deferred in respect of players disposed of and purchased in prior years	857	-
Rollover relief deferred in respect of players disposed of and purchased in current year	(495)	8,796
Deferred tax charge	302	8,406
Total tax charge on ordinary activities	108	10,234

Reconciliation of total tax charge

	2010 £'000	2009 £'000
(Loss)/profit on ordinary activities before taxation	(6,539)	33,398
Tax on (loss)/profit on ordinary activities before taxation at the UK statutory rate of 28% (2009 28%)	(1,831)	9,351
Expenses not deductible	726	367
Depreciation for which no tax relief is available	550	591
Net impact of rollover relief in respect of players disposed of and purchased in prior years	857	-
Other prior year adjustments	(194)	(60)
Utilisation of tax losses	-	(15)
Total tax charge on ordinary activities	108	10,234

Other than the provision for deferred tax (see note 18) and the items referred to above, there are no items which would materially affect future tax charges

10 Earnings per share

Earnings per share has been calculated using the weighted average number of shares in issue in each year

	2010 £'000	2009 £'000
Earnings for the purpose of basic earnings per share being net (loss)/profit attributable to equity holders of the Company	(6,647)	23,164
Accretion of CRPS liability	236	558
Earnings for the purpose of diluted earnings per share	(6,411)	23,722

Weighted average number of ordinary shares for the purposes of basic earnings per share	117,911,574	92,793,219
Convertible redeemable preference shares	90,317,964	91,063,038
	208,229,538	183,856,257

Basic (loss)/earnings per share	(5 6p)	25 0p
Diluted (loss)/earnings per share	(5 6p)	12 9p

There are no ordinary share options outstanding at the year end (2009 nil). On conversion of the CRPS the fully diluted share capital at year end would be 213,860,549 shares (2009 183,862,111 shares)

The convertible redeemable preference shares are not considered to be dilutive in the current year as they would reduce the loss per share

Notes to the consolidated accounts (continued)

11 Property, plant and equipment For the year ended 30 June 2010

Group	Land and buildings		Motor vehicles £ 000	General plant and equipment £ 000	Assets under the course of construction £ 000	Total £ 000
	Freehold £ 000	Short leasehold £ 000				
Cost or valuation						
At 1 July 2009	55,634	1	199	20,830	50,882	127,546
Additions	3,905	-	114	452	18,513	22,984
At 30 June 2010	59,539	1	313	21,282	69,395	150,530
Depreciation						
At 1 July 2009	7,991	1	98	16,118	-	24,208
Charged in the year	866	-	42	1,862	-	2,770
At 30 June 2010	8,857	1	140	17,980	-	26,978
Net book value						
At 30 June 2010	50,682	-	173	3,302	69,395	123,552

Land and buildings that are currently held for the Northumberland Development Project have been transferred at their net book value into assets under the course of construction. In the event that the proposed Northumberland Development Project does not proceed, some of the £20,432,000 of professional fees capitalised to 30 June 2010 (2009 £11,199,000) may need to be written off.

For the year ended 30 June 2009

Group	Land and buildings		Motor vehicles £ 000	General plant and equipment £ 000	Assets under the course of construction £ 000	Total £ 000
	Freehold £ 000	Short leasehold £ 000				
Cost or valuation						
At 1 July 2008	52,528	1	165	19,010	24,894	96,598
Additions	4,766	-	48	1,259	25,979	32,052
Disposals	(372)	-	(14)	-	-	(386)
Transfer to assets under construction	(1,288)	-	-	561	9	(718)
At 30 June 2009	55,634	1	199	20,830	50,882	127,546
Depreciation						
At 1 July 2008	8,187	1	73	14,207	-	22,468
Eliminated on disposal	(372)	-	(12)	-	-	(384)
Charged in the year	894	-	37	1,911	-	2,842
Transfer to assets under construction	(718)	-	-	-	-	(718)
At 30 June 2009	7,991	1	98	16,118	-	24,208
Net book value						
At 30 June 2009	47,643	-	101	4,712	50,882	103,338

12 Intangible assets For the year ended 30 June 2010

	£ 000
Cost of registrations	
At 1 July 2009	197,122
Additions	38,091
Disposals	(33,177)
At 30 June 2010	202,036
Amortisation and impairment of registrations	
At 1 July 2009	68,690
Charged in year – amortisation	39,991
Disposals	(22,305)
At 30 June 2010	86,376
Net book value of registrations	
At 30 June 2010	115,660

Notes to the consolidated accounts (continued)

12 Intangible assets continued

For the year ended 30 June 2009

	£ 000
Cost of registrations	
At 1 July 2008	121,078
Additions	119,336
Disposals	(43,292)
At 30 June 2009	197,122
Amortisation and impairment of registrations	
At 1 July 2008	58,655
Charged in year – amortisation	37,288
Disposals	(27,253)
At 30 June 2009	68,690
Net book value of registrations	
At 30 June 2009	128,432

Intangible assets relate entirely to the carrying value of the playing squad and are being amortised over the remaining length of the players contracts which are between one and five years

13 Inventories

	2010 £'000	2009 £ 000
Inventories	1,066	1,172

Inventories comprise merchandising goods held for resale

14 Trade and other receivables

	2010 £'000	2009 £ 000
Trade receivables due in less than one year	24,090	30,557
Trade receivables due in more than one year	2,968	1,180
Other receivables	1,981	2,338
Prepayments and accrued income	6,870	3,663
	35,909	37,738

Trade receivables above include £18,423,000 (2009 £25,049,000) in respect of the disposal of players' registrations

The Directors consider the carrying amount of trade and other receivables approximates their fair value

Refer to note 19 for disclosures relating to debtors' ageing and other credit risk considerations

15 Cash and cash equivalents

Cash and cash equivalents comprise cash held by the Group and short-term bank deposits

	2010 £'000	2009 £ 000
Bank balances	11,276	19,606
Petty cash	9	16
Cash and cash equivalents	11,285	19,622

The carrying amount of these assets approximates their fair value

Notes to the consolidated accounts (continued)

16 Current liabilities

	2010 £ 000	2009 £ 000
Bank loans (secured)	18,039	7,683
Other loans (secured)	1,218	1,131
CRPS liability (see note 21)	4,860	4,996
Interest bearing loans and borrowings	24,117	13,810
Trade payables	35,396	36,545
Other tax and social security	6,977	6,128
Other payables	7,841	7,531
Accruals and deferred income	36,562	39,375
Trade and other payables	86,776	89,579
Provisions (see note 18)	1,595	1,211
	112,488	104,600

During the year a £15,000,000 short-term revolving loan which forms part of the Group's facility with HSBC Bank was utilised, which is secured against Club assets

Trade payables above include £29,120,000 in respect of the acquisition of players' registrations (2009 £32,507,000)

Accruals and deferred income include income in respect of season tickets and commercial sponsorships relating to future years

The Directors consider that the carrying amount of trade payables approximates their fair value

17 Non-current liabilities

	2010 £'000	2009 £'000
Bank loans (secured)	31,686	31,155
Other loans (secured)	24,340	25,558
CRPS liability (see note 21)	9,735	9,791
Interest bearing loans and borrowings	65,761	66,504
Trade payables	14,688	31,915
Other payables	4,145	3,901
Accruals and deferred income	-	2,055
Trade and other payables	18,833	37,871
Deferred grant income	2,127	2,211
Deferred tax liabilities (see note 18)	18,459	18,157
	105,180	124,743

Trade payables above are all in respect of the acquisition of players' registrations

Bank loans (in notes 16 and 17)

Bank loans of £1,703,000 are secured by a floating charge over the Group's assets and on certain freehold properties. These loans are being repaid over 23 years, in equal quarterly instalments from September 2004. Interest is charged quarterly on the outstanding amount of the loans, at a rate which tracks the Bank of England base rate. The bank loans are shown in the financial statements net of £23,000 of associated loan arrangement costs which are being amortised over the term of the loans.

There is a £55,000,000 non-recourse bank facility with the Bank of Scotland secured on certain freehold properties. The Group has drawn the £11,250,000 refinance loan to refinance the existing debt of the Group incurred in respect of the acquisition of certain properties, at the balance sheet date £9,375,000 of this loan was outstanding. The remainder of the facility is available to draw upon to acquire further properties. At the balance sheet date a further £28,028,000 had been drawn to facilitate property acquisitions, and £23,844,000 of this loan was outstanding. The bank loans, which are at a floating rate, are shown in the financial statements net of £174,000 of associated loan arrangement costs which are being amortised over the term of the loans.

Other loans (in notes 16 and 17)

Other loans above relate to the issue, at par, of £10,000,000 7 29% secured loan notes by the Group in November 2002 and a further issue, at par, in November 2006 of £20,000,000 7 29% secured loan notes. The £10,000,000 loan notes were used to repay short-term debt and to fund the Group's general working capital requirements. These notes are repayable in equal annual instalments over 20 years from September 2003.

The £20,000,000 loan notes are repayable in equal instalments over 16 years from September 2007.

The loan notes are secured against the White Hart Lane Stadium, and future gate and corporate hospitality receipts generated at the Stadium. At the balance sheet date £25,872,000 of the loan notes are outstanding. The loan notes are shown in the financial statements net of £314,000 of associated debt issue costs which are being amortised over the term of the loan notes.

CRPS liability

For details of the CRPS liability see note 21

Notes to the consolidated accounts (continued)

17 Non-current liabilities continued

The maturity profile of the Group's total borrowings at the balance sheet date which have been discounted using the Group's weighted average cost of capital and which do not include interest payments are as follows

	2010			2009		
	Principal	Interest	Total	Principal	Interest	Total
	£'000	£'000	£ 000	£'000	£ 000	£'000
Bank loans and overdraft						
In one year or less or on demand	18,039	157	18,196	7,683	19	7,702
In more than one year but not more than two years	3,048	—	3,048	2,687	—	2,687
In more than two years but not more than five years	9,156	—	9,156	8,097	—	8,097
In more than five years	19,482	—	19,482	20,371	—	20,371
	49,725	157	49,882	38,838	19	38,857
Other loans						
In one year or less or on demand	1,218	1,572	2,790	1,131	1,643	2,774
In more than one year but not more than two years	1,313	—	1,313	1,218	—	1,218
In more than two years but not more than five years	4,574	—	4,574	4,249	—	4,249
In more than five years	18,453	—	18,453	20,091	—	20,091
	25,558	1,572	27,130	26,689	1,643	28,332
CRPS liability						
In one year or less or on demand	4,860	177	5,037	4,996	313	5,309
In more than one year but not more than two years	4,865	—	4,865	4,887	—	4,887
In more than two years but not more than five years	4,870	—	4,870	4,904	—	4,904
	14,595	177	14,772	14,787	313	15,100
Total borrowings						
In one year or less or on demand	24,117	1,906	26,023	13,810	1,975	15,785
In more than one year but not more than two years	9,226	—	9,226	8,792	—	8,792
In more than two years but not more than five years	18,600	—	18,600	17,250	—	17,250
In more than five years	37,935	—	37,935	40,462	—	40,462
	89,878	1,906	91,784	80,314	1,975	82,289

Interest rate profile

The Group has no financial assets excluding short-term debtors, other than the Sterling cash deposits of £11,285,000 (2009 £19,622,000) which are part of the financing arrangements of the Group. The Sterling cash deposits comprise of deposits placed on money market at call rates.

Interest rate profile of financial liabilities (all Sterling)	Total £ 000	Floating rate financial liabilities £ 000	Fixed rate borrowings		
			Fixed rate financial liabilities £ 000	Weighted average time for which rate is fixed Years	Weighted average interest rate at year end %
2010	89,878	64,320	25,558	13	3.6
2009	80,314	53,625	26,689	14	3.5

The floating rate borrowings are all denominated in Sterling and are referenced to London Inter Bank Offer Rate (LIBOR) and The Bank of England Base Rate. The CRPS were included as a fixed rate financial liability at 30 June 2006. The CRPS were redeemable from 31 January 2007 under the terms set out in note 21 at which time they became a floating rate financial liability.

Notes to the consolidated accounts (continued)

17 Non-current liabilities continued

Borrowing facilities

As at the balance sheet date the Group had the following undrawn committed bank borrowing facilities

	2010 £'000	2009 £'000
Expiring in one year or less or on demand	15,000	25,000
Expiring in more than one year but not more than two years	-	-
Expiring in more than five years	15,722	39,472
Total undrawn committed borrowing facilities	30,722	64,472

This is made up of undrawn bank borrowing facilities of £15,000,000 and the remaining £15,722,000 undrawn facility relating to future property acquisitions (see note 16 above)

Fair values

There is no material difference between the fair value and the carrying amount of the Group's financial assets or liabilities except as described below

	2010		2009	
	Book value £'000	Fair value £'000	Book value £'000	Fair value £'000
Other loans	25,558	21,923	26,689	17,775

Short-term debtors and creditors have been excluded from all disclosures

Treasury policy

The Group's operations are currently funded through operating cash flow, loans and the net proceeds from the CRPS issue. The Group hedges its interest rate exposure by using fixed interest rate facilities where deemed appropriate. The Group is exposed to foreign currency exchange risk through its player transactions but manages its working capital inflow and outflow to minimise any material foreign exchange risk. The Group does not enter into instruments for speculative purposes. All treasury transactions are reported to and approved by the Board.

18 Provisions for liabilities

For the year ended 30 June 2010

	£'000
Contingent transfer fees payable	
At 1 July 2009	1,058
Provided during the year	1,226
Utilised during the year	(1,239)
At 30 June 2010	1,045
Provisions on player contracts	
At 1 July 2009	153
Provided during the year	550
Released to income during the year	(4)
Utilised during the year	(149)
At 30 June 2010	550
Deferred taxation	
At 1 July 2009	18,157
Provided during the year	302
At 30 June 2010	18,459
Total	
At 30 June 2010	20,054

The timing of the outflow of the contingent payment is dictated by the contractual provisions of the relevant agreements

Notes to the consolidated accounts (continued)

18 Provisions for liabilities continued

For the year ended 30 June 2009

	£'000
Contingent transfer fees payable	
At 1 July 2008	2,317
Provided during the year	2,446
Released to income during the year	(332)
Utilised during the year	(3,373)
At 30 June 2009	1,058
Provisions on player contracts	
At 1 July 2008	3,285
Provided during the year	153
Utilised during the year	(3,285)
At 30 June 2009	153
Deferred taxation	
At 1 July 2008	9,751
Provided during the year	8,406
At 30 June 2009	18,157
Total	
At 30 June 2009	19,368

Deferred taxation has been provided as follows

	2010 £'000	2009 £'000
Accelerated capital allowances	3,456	3,166
Deferred tax on properties not qualifying for capital allowances	233	233
Intangible fixed assets	15,087	14,791
Other timing differences	(317)	(33)
	18,459	18,157

19 Financial instruments

Capital risk management

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximising the return to shareholders through the optimisation of the debt and equity balance. The Directors' consideration of going concern is detailed in the Directors' Report. The capital structure of the Group consists of debt, which includes the borrowings disclosed in note 16, cash and cash equivalents and equity attributable to equity holders of the parent comprising issued capital, reserves and retained earnings as disclosed in note 22 and the statement of changes in equity.

Financial risk management objectives and policies

The Group's financial assets include cash and cash equivalents and other short-term deposits. The main purpose of these financial instruments is to finance the Group operations. The Group has other financial assets, such as trade and other receivables and trade and other payables, which arise directly from its operations. Surplus cash within the Group is put on deposit, the objective being to maximise returns on such funds whilst ensuring that the short-term cash flow requirements of the Group are met.

Notes to the consolidated accounts (continued)

19 Financial instruments continued

The carrying value of the financial assets and liabilities (with non-financial assets and liabilities shown for reconciling purposes) are analysed as follows

	Year ended 30 June 2010			Year ended 30 June 2009		
	Financial assets £ 000	Non-financial assets £ 000	Total £ 000	Financial assets £ 000	Non-financial assets £ 000	Total £ 000
Assets						
Non-current assets	-	239,212	239,212	-	231,770	231,770
Trade receivables and similar items	29,737	-	29,737	35,179	-	35,179
Cash and cash equivalents	11,285	-	11,285	19,622	-	19,622
Other current assets	-	7,935	7,935	-	4,835	4,835
Total assets	41,022	247,147	288,169	54,801	236,605	291,406
	Year ended 30 June 2010			Year ended 30 June 2009		
	Financial liabilities £ 000	Non-financial liabilities £ 000	Total £ 000	Financial liabilities £ 000	Non-financial liabilities £ 000	Total £ 000
Liabilities						
Borrowings						
Current	(24,117)	-	(24,117)	(13,810)	-	(13,810)
Non-current	(65,761)	-	(65,761)	(66,504)	-	(66,504)
Trade and other payables	(112,659)	-	(112,659)	(132,031)	-	(132,031)
Other liabilities	-	(15,131)	(15,131)	-	(16,998)	(16,998)
Total liabilities	(202,537)	(15,131)	(217,668)	(212,345)	(16,998)	(229,343)
Net assets	(161,515)	232,016	70,501	(157,544)	219,607	(62,063)

The Group has not used derivative financial instruments during the year. The Board will review the need for the use of derivative financial instruments in the future.

The Group has exposure to the following risks from its use of financial instruments:

- (i) market risk,
- (ii) credit risk, and
- (iii) liquidity risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk.

(i) Market risk

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange and interest rates.

Interest rate risk

The Group is exposed to interest rate risk because entities in the Group borrow at both fixed and floating interest rates. Having borrowings at both fixed and floating rates spreads the risk of significant movements in the interest rate. The Group does not consider this risk as significant.

Interest rate sensitivity analysis

The sensitivity analyses below have been determined based on the exposure to interest rates for financial instruments at the balance sheet date. For floating rate cash deposits, the analysis is prepared assuming the amount of deposits outstanding on the balance sheet date were outstanding for the whole year. A 50 basis point increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of reasonable possible changes in interest rates.

If interest rates had been 50 basis points higher/lower and all other variables were held constant, the Group's profit for the year ended 30 June 2010 would decrease/increase by £176,334 (2009 decrease/increase by £246,484). This is mainly attributable to the Group's exposure to interest rates on its floating rate loans.

Notes to the consolidated accounts (continued)

19 Financial instruments continued

Foreign currency management

The presentational currency of the Group is UK Sterling. The Group is exposed to the currency risk due to movements in foreign currency relative to Sterling affecting the Group's foreign currency transactions and balances.

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the reporting date are as follows:

	Liabilities		Assets	
	2010	2009	2010	2009
	£'000	£'000	£'000	£'000
Euro	30,068	42,398	4,210	875

These amounts principally relate to player transfer creditors and debtors.

Foreign currency sensitivity analysis

The Group is mainly exposed to the Euro. The following table details the Group's sensitivity to a 10% increase and decrease in Sterling against the Euro. 10% is the sensitivity rate used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes only outstanding foreign currency denominated monetary items and adjusts their translation at the period end for a 10% change in foreign currency rates. The positive number below indicates an increase in profit and retained earnings where Sterling strengthens against the Euro. For a 10% weakening of Sterling against the Euro, there would be an equal and opposite impact on profit and retained earnings.

	Euro impact	
	2010	2009
	£'000	£'000
Impact on profit and other equity	3,372	6,985

(ii) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. Of the total trade receivable balance of £27.1m, £18.4m relates to amounts receivable from various other football clubs in relation to player trading and £2.0m relates to commercial sponsorship. The maximum credit exposure relates to the total of cash and cash equivalents and trade receivables and is £38.0m.

There are no other significant concentrations of credit risk within the Group. The maximum risk exposure relates to football creditors but this is mitigated by the governing bodies of international and national football associations.

Credit evaluations are performed on all customers requiring credit over a certain amount. The maximum credit risk exposure of the Group comprises the amounts presented in the balance sheet which are stated net of provisions for doubtful debts. The Group does not consider that it has significant concentration of credit risk.

The ageing of trade receivables at the reporting date was

	Gross receivables	Provision	Gross receivables	Provision
	2010	2010	2009	2009
	£'000	£'000	£'000	£'000
Non-football				
Not past due	4,646	—	3,849	—
Past due 0 – 30 days	2,458	—	2,222	—
Past due 31 – 90 days	993	—	453	—
More than 90 days	624	86	374	210
	8,721	86	6,898	210
Football				
Not past due	16,706	—	24,976	—
Past due 0 – 30 days	294	—	44	—
Past due 31 – 90 days	248	—	—	—
More than 90 days	1,175	—	29	—
	18,423	—	25,049	—
Total				
Not past due	21,352	—	28,825	—
Past due 0 – 30 days	2,752	—	2,266	—
Past due 31 – 90 days	1,241	—	453	—
More than 90 days	1,799	86	403	210
	27,144	86	31,947	210

Notes to the consolidated accounts (continued)

19 Financial instruments continued

	2010 £'000	2009 £ 000
Movements in the allowance for doubtful debts		
At 1 July 2009	210	12
Provided during the year	67	203
Recovered during the year	(11)	(1)
Utilised during the year	(180)	(4)
At 30 June 2010	86	210

(iii) Liquidity risk

The Group's policy is to maintain a balance of continuity of funding and flexibility through the use of loans and finance leases as applicable. The annual Group cash flow is cyclical in nature with the majority of cash inflows being received prior to the start of the playing season.

Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity.

The maturity profile of the Group's borrowings is shown on page 35 along with the Group's borrowing facilities as at the balance sheet date.

20 Called up share capital

	Number	£ 000
Authorised		
At 30 June 2010 – ordinary shares of 5p each	200,000,000	10,000
At 30 June 2010 – CRPS of £78 10 each	60,000	4,686
At 30 June 2009 – ordinary shares of 5p each	200,000,000	10,000
At 30 June 2009 – CRPS of £78 10 each	60,000	4,686
Allotted, called up and fully paid		
At 30 June 2010 – ordinary shares of 5p each	123,542,585	6,177
At 30 June 2010 – CRPS of £78 10 each	57,822	4,516
At 30 June 2009 – ordinary shares of 5p each	92,799,073	4,640
At 30 June 2009 – CRPS of £78 10 each	58,299	4,553

During the year, 476 CRPS were converted to ordinary shares at the rate of 1,562 ordinary shares for each CRPS, adding an additional 743,512 ordinary shares to the called up share capital. Also on 1 November 2009, 30 million ordinary shares were issued. In total this brings the ordinary share capital to 123,542,585 shares.

The equity component of the CRPS at 30 June 2010 is £3,774,000 (2009: £3,805,000).

21 Equity component of convertible redeemable preference shares

The CRPS were issued on 23 January 2004 for consideration of £250 per share. The key terms of the CRPS are as follows:

1. no dividend shall be payable until 31 October 2007 (in respect of the period from the third anniversary of issue to 30 September 2007) and thereafter will be payable annually on 31 October in respect of each twelve month period to 30 September at a rate of 1% above the HSBC Bank base rate,
2. on 31 October 2007 and on each 31 October thereafter (or, if later, 28 days after the posting of the Company's audited consolidated financial statements for the period ended on the prior 30 June), the CRPS will be convertible into ordinary shares at the election of CRPS holders at the rate of 1,562 ordinary shares for each CRPS,
3. the Company may serve notice of its wish to redeem all or any of the CRPS at any time, in which event CRPS holders may elect either to convert or redeem their relevant proportion of CRPS set out in the notice,
4. on and after the date falling three years from the date of issue, CRPS holders will be entitled to elect to redeem their CRPS. Once the Company has received elections in respect of more than 50% in number of the CRPS, but not before, it will redeem all of the CRPS in three equal annual tranches on a pro rata basis,
5. all of the CRPS still in issue will be redeemed in three equal annual tranches on a pro rata basis on the seventh, eighth and ninth anniversaries of the date of issue,
6. the Company will only be obliged to pay dividends or redeem the CRPS on the dates above to the extent that it has sufficient distributable reserves lawfully to do so, otherwise it may defer payment until it is so able,
7. the sum to be paid on redemption of each CRPS shall be the amount paid up on such share (including any premium), together with any arrears and accruals of, and interest on, the dividend payable in respect of such share, calculated to the relevant date of redemption,
8. CRPS holders are entitled to one vote on a show of hands or, on a poll, one vote per ordinary share that would have been allotted to that CRPS holder had conversion taken place at that time at the conversion rate then applicable. CRPS holders may only vote on resolutions relating to the winding up of the Company, a reduction in the capital of the Company or the rights attached to the CRPS, or when the Company has been in default, for a period of more than one month, of its obligations relating to the payment of a dividend or the redemption of the shares, and
9. on a return of capital or winding up, CRPS holders have the right to receive, in priority to any other classes of shares, the amount of the paid up sum (including any premium paid) in respect of each CRPS on subscription, plus any arrears of dividend.

Notes to the consolidated accounts (continued)

22 Reconciliation of movements in Group shareholders' funds

	2010 £'000	2009 £'000
Opening shareholders' funds	62,063	42,610
(Loss)/profit for the year	(6,647)	23,164
Ordinary 5p shares issued during the year	15,000	-
Dividend payment	-	(3,712)
Conversion of CRPS to ordinary shares	85	1
Net addition to shareholders' funds	8,438	19,453
Closing shareholders' funds	70,501	62,063

During the year the Group transferred the remaining balance on its revaluation reserve to retained earnings. The revaluation surplus had arisen from previous revaluations.

23 Commitments

At the balance sheet date the Group had outstanding commitments for future minimum lease payments under non-cancellable operating leases which fall due as follows:

	2010 £'000	2009 £'000
Minimum lease payments		
Within one year	285	289
Within two to five years	907	904
After five years	224	170
	1,416	1,363

Capital commitments were as follows

Contracted	87	144
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Contracted capital commitments relate to agreed property acquisitions.

24 Net debt

	2010 £'000	2009 £'000
Cash and cash equivalents	11,285	19,622
Securitisation blocked funds	(17,743)	(18,549)
	(6,458)	1,073
Bank loans	(16,703)	(6,781)
Securitisation non-blocked funds	(8,129)	(8,140)
Bank loans – property	(33,219)	(32,081)
Net debt *	(64,509)	(45,929)

*In addition, the Group has £14,600,000 of CRPS (2009: £14,800,000).

Notes to the consolidated accounts (continued)

25 Related-party transactions

The following paragraphs give details of all related-party transactions involving the Company and any of its subsidiary undertakings

ENIC Group companies

Amounts totalling £6,247 (2009 £5,042) including VAT were incurred during the year by the Group on behalf of ENIC Group and subsequently reimbursed by ENIC Group during the year. At the balance sheet date, £nil (2009 £61) was due to the Group from ENIC Group.

Amounts totalling £47,641 (2009 £2,551) including VAT were incurred during the year by ENIC Group on behalf of the Group. During the year, ENIC Group invoiced the Group for £14,000 (2009 £25,458). At the balance sheet date, £nil (2009 £nil) was due to ENIC Group from the Group.

Other

Tottenham Hotspur Foundation was established on 1 November 2006. During the year the Group invoiced the Foundation for expenses paid on their behalf of £136,581 (2009 £147,384). At the balance sheet date, £3,099 (2009 £56,307) was due to the Group from Tottenham Hotspur Foundation.

During the year, Tottenham Hotspur Foundation invoiced the Group for £67,835 (2009 £131,830). At the balance sheet date, £128 (2009 £62,760) was due to Tottenham Hotspur Foundation from the Group.

Except for the balances disclosed above, there were no other balances outstanding at the balance sheet date in 2010 or 2009. All of these transactions were at arm's length.

The fees paid to related parties with regard to Directors' emoluments have been disclosed in the Remuneration Report on pages 17 and 18.

Key management personnel are deemed to be the Directors. The remuneration of Directors is determined by the Remuneration Committee having regard to the performance of individuals and market trends.

Details of the remuneration of the Directors individually and in total are shown below.

							Year to 30 June 2010	Year to 30 June 2009
	Fees	Salary	Bonus	Benefits- in-kind	Sub total	Pension	Total	Total
	£	£	£	£	£	£	£	£
D P Levy*	675,000	-	675,000	-	1,350,000	-	1,350,000	675,000
M J Collecott	-	235,000	235,000	10,657	480,657	23,500	504,157	266,499
Lord Davies of Abersoch** (resigned 16 January 2009)	-	-	-	-	-	-	-	5,000
Sir K E Mills**	5,000	-	-	-	5,000	-	5,000	5,000
	680,000	235,000	910,000	10,657	1,835,657	23,500	1,859,157	951,499

* The fees of the Chairman, Daniel Levy, were paid to ENIC Group.

** Non-Executive Directors.

26 Pensions

Defined contribution schemes

Certain staff of the Group are members of the Football League Limited Pension and Life Assurance Scheme. Others are members of a self-administered Group money purchase scheme. The assets of these schemes are held separately from those of the Group, being invested with insurance companies. The total pension cost charged during the year amounted to £341,000 (2009 £199,000).

During the year the Group made payments of £231,000 (2009 £nil) into an Employee Funded Retirement Benefit Scheme administered by Sanne Trust Company Limited. Accordingly, no liability in respect of the scheme is recognised by the Group.

Defined benefit scheme

The Group is advised only of its share of the deficit in the defined benefit section of The Football League Pension and Life Assurance Scheme (the "Scheme"). The most recent actuarial valuation of the Scheme was as at 31 August 2008 and indicated that the contribution required from the Group towards making good this deficit was £290,000 at 1 September 2009. The pension cost charged during the year relating to this deficit was £42,000 (2009 £196,000). At the balance sheet date the Group's share of this deficit was £253,000 (2009 £295,000).

27 Contingent liabilities and assets

The Company, together with its subsidiaries, has given a multi-lateral undertaking to its bankers to guarantee the overdrafts of the Group companies.

Under the terms of certain contracts for the purchase of players' registrations future payments may be due to third parties, dependent on the success of the team and/or individual players. At the balance sheet date the maximum contingent liability which has not been provided for was £26,188,000 (2009 £24,188,000).

Under the terms of certain contracts for the sale of players' registrations future receipts may be receivable from third parties, dependent on the success of the team and/or individual players. At the balance sheet date the maximum contingent asset was £11,311,000 (2008 £12,061,000), none of which has been recognised.

The Group are currently in discussions with HM Revenue and Customs ("HMRC") relating to a number of tax matters. These primarily relate to (a) HMRC's investigation into image right payments made by football clubs generally, (b) HMRC's enquiries across the football industry as to whether VAT is recoverable on agents' fees on the basis that some agents may not have acted exclusively for the Club, and (c) HMRC's enquiries into the current football creditor rules.

The Group is satisfied that it has acted and accounted properly for these matters, and that once settled, no unprovided liabilities significant to the financial statements will result.

Notes to the consolidated accounts (continued)

28 Post balance sheet events

Since the balance sheet date the following events have occurred

R van der Vaart was bought from Real Madrid

Sandro was bought from Internazionale

W Gallas joined on a free transfer

S Pletkosa joined on loan from Spartak Moscow

A Taarabt was sold to Queens Park Rangers

D Dervite was released

Including Football League levies, the uncontingent net costs of these transactions amounted to approximately £18,126,000

The contingent liability from these transactions amounts to approximately £809,848 and the contingent asset amounts to approximately £3,200,000

Five-year review

	June 2010 £ 000 IFRS	June 2009 £'000 IFRS	June 2008 £ 000 IFRS	June 2007 £ 000 IFRS	June 2006 £ 000 UK GAAP
Revenue	119,814	113,012	114,788	103,091	74,141
Profit from operations excluding football trading and before restructuring and depreciation	25,444	24,054	35,001	31,959	4,587
Restructuring and depreciation	(2,770)	(5,664)	(7,540)	(2,231)	(2,226)
Operating profit before football trading	22,674	18,390	27,461	29,728	2,361
Amortisation of registrations and other football-related income and expenditure	(39,466)	(38,099)	(36,971)	(18,832)	(11,781)
Profit on disposal of intangible fixed assets	15,250	56,500	16,362	18,721	12,299
(Loss)/profit before interest and taxation	(1,542)	36,791	6,852	29,617	2,879
Net interest payable	(4,997)	(3,393)	(3,865)	(1,872)	(2,261)
(Loss)/profit on ordinary activities before taxation	(6,539)	33,398	2,987	27,745	618
Taxation	(108)	(10,234)	(2,018)	(8,587)	(2,193)
(Loss)/profit on ordinary activities after taxation	(6,647)	23,164	969	19,158	(1,575)
Other finance costs in respect of non-equity shares	—	—	—	—	—
Retained (loss)/profit	(6,647)	23,164	969	19,158	(1,575)
Net assets					
Intangible assets	123,552	128,432	62,423	71,061	30,264
Property plant and equipment	115,660	103,338	74,130	51,057	49,762
Net current liabilities	(63,531)	(44,964)	(10,255)	(12,828)	(20,008)
Total assets less current liabilities	175,681	186,806	126,298	109,290	60,018
Provisions and creditors – amounts falling due after more than one year	(105,180)	(124,743)	(83,688)	(63,162)	(30,062)
Net assets	70,501	62,063	42,610	46,128	29,956
Basic (loss)/earnings per share	(5 6p)	25 0p	1 0p	20 6p	(1 7p)

The amounts for 2006 are stated on the basis of UK GAAP because it is not practicable to restate amounts for periods prior to the date of transition to IFRS

Independent auditors' report

for the year ended 30 June 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF TOTTENHAM HOTSPUR PLC

We have audited the financial statements of Tottenham Hotspur plc (the "Company") for the year ended 30 June 2010 which comprise the Balance Sheet and the related notes 1 to 11. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of Directors and auditors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the Directors, and the overall presentation of the financial statements.

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 30 June 2010 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the parent company financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of Directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit.



Nigel Mercer
(Senior Statutory Auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom
10 November 2010

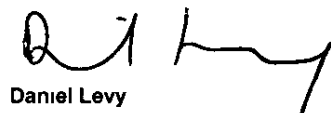
Company balance sheet

as at 30 June 2010

	Note	30 June 2010 £'000	30 June 2009 £'000
Fixed assets			
Tangible assets	2	31,538	17,689
Investments	3	20,915	2,490
		52,453	20,179
Current assets			
Stocks	4	1,066	811
Debtors	5	142,782	102,074
		143,848	102,885
Creditors amounts falling due within one year	6	(109,875)	(72,986)
Net current assets		33,973	29,899
Total assets less current liabilities		86,426	50,078
Creditors amounts falling due after more than one year	7	(9,824)	(9,913)
		76,602	40,165
Provisions for liabilities	8	(586)	(469)
Net assets		76,016	39,696
Capital and reserves			
Called up share capital	9	6,177	4,640
Share premium account	9	25,217	11,638
Equity component of CRPS	9	3,774	3,805
Capital redemption reserve	9	595	595
Profit and loss account	9	40,253	19,018
Shareholders' funds	9	76,016	39,696

These financial statements (Company number 1706358) were approved by the Board of Directors and authorised for issue on 10 November 2010

Signed on behalf of the Board of Directors



Daniel Levy
Chairman
10 November 2010

Notes to the Company accounts

1 Accounting policies

The following accounting policies have been applied consistently by the Directors in both the current and preceding periods in dealing with items which are considered material in relation to the Company's accounts

Basis of accounting

The accounts have been prepared in accordance with applicable United Kingdom law and Accounting Standards and under the historical cost convention with the exception that certain freehold and leasehold properties have been revalued

Grants receivable

Grants receivable are credited to a deferred credit account and released to the profit and loss account over the estimated useful life of the asset in respect of which they are receivable

Foreign exchange

Transactions denominated in foreign currencies are translated into sterling and recorded at the rates of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in a foreign currency are translated into sterling at the exchange rates ruling on the balance sheet dates. Translation differences are dealt with in the profit and loss account

Tangible fixed assets

Freehold land is not depreciated. Leasehold property is amortised over the term of the lease. Other fixed assets are depreciated on a straight-line basis at annual rates appropriate to their estimated useful lives as follows

Freehold properties	2%
Motor vehicles	20%
General plant and equipment	10% – 33%

The Group has taken advantage of the transitional provisions of FRS 15 'Tangible Fixed Assets' and retained the book amounts of certain assets which were revalued prior to implementation of that Standard. The properties were last revalued at 31 July 1998 and the valuations have not subsequently been updated

Fixed asset investments

Investments held as fixed assets are stated at cost less provision for impairment

Stocks

Stocks, which comprise goods held for resale, are valued at the lower of cost and net realisable value

Debt

Debt is stated initially at the amount of the net proceeds after deduction of issue costs. The carrying amount is increased by the finance cost in respect of the accounting period and reduced by payments made in the accounting period

Convertible redeemable preference shares

CRPS are regarded as compound instruments, consisting of a liability component and an equity component. At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible debt. The difference between the proceeds of issue of the CRPS and the fair value assigned to the liability component, representing the embedded option to convert the liability into equity of the Group, is included in equity

Issue costs are apportioned between the liability and equity components of the CRPS based on their relative carrying amounts at the date of issue. The portion relating to the equity component is charged directly against equity

The interest expense on the liability component is calculated by applying the prevailing market interest rate for similar non-convertible debt to the liability component of the instrument. The difference between this amount and the interest paid is added to the carrying amount of the liability component

Deferred taxation

Deferred taxation is provided in full on timing differences that result in an obligation at the balance sheet date to pay more tax, or a right to pay less tax, at a future date, at rates expected to apply when they crystallise based on current tax rates and law. Timing differences arise from the inclusion of items of income and expenditure in taxation computations in periods different from those in which they are included in financial statements. Deferred taxation assets are recognised to the extent that it is regarded as more likely than not that they will be recovered

Deferred taxation is not provided on timing differences arising from the sale or revaluation of fixed assets unless, at the balance sheet date, a binding commitment to sell the asset has been entered into and it is unlikely that any gain will qualify for rollover relief

Notes to the Company accounts (continued)

1 Accounting policies continued

Pension costs

Payments are made to the external defined contribution pension schemes of eligible employees of the Company. The pension cost charged in the year represents contributions payable by the Company to these schemes.

Under the provisions of FRS 17 'Retirement Benefits' the Scheme would be treated as a defined benefit multi-employer scheme. The Scheme's actuary has advised that the participating employers' share of the underlying assets and liabilities cannot be identified on a reasonable and consistent basis and, accordingly, no disclosures are made under the provisions of FRS 17.

2 Tangible assets

For the year ended 30 June 2010

Company	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold £ 000	Short leasehold £ 000				
Cost						
At 1 July 2009	-	1	200	14,753	15,262	30,216
Additions	-	-	114	297	14,395	14,806
At 30 June 2010	-	1	314	15,050	29,657	45,022
Depreciation						
At 1 July 2009	-	1	99	12,427	-	12,527
Charged in the year	-	-	42	915	-	957
At 30 June 2010	-	1	141	13,342	-	13,484
Net book value						
At 30 June 2010	-	-	173	1,708	29,657	31,538

For the year ended 30 June 2009

Company	Land and buildings		Motor vehicles	General plant and equipment	Assets under the course of construction	Total
	Freehold £ 000	Short leasehold £ 000				
Cost						
At 1 July 2008	603	1	167	15,984	8,254	25,009
Additions	-	-	48	709	7,939	8,696
Disposals	-	-	(15)	-	-	(15)
Transfer	(603)	-	-	(1,940)	(931)	(3,474)
At 30 June 2009	-	1	200	14,753	15,262	30,216
Depreciation						
At 1 July 2008	541	1	74	12,855	-	13,471
Eliminated on disposal	-	-	(12)	-	-	(12)
Charged in the year	56	-	37	937	-	1,030
Transfer	(597)	-	-	(1,365)	-	(1,962)
At 30 June 2009	-	1	99	12,427	-	12,527
Net book value						
At 30 June 2009	-	-	101	2,326	15,262	17,689

All assets shown are held at historical cost.

Notes to the Company accounts (continued)

3 Investments held as fixed assets

Investments held as fixed assets by the Company represent the investments in subsidiary undertakings which are analysed as follows

	Investments in subsidiary undertakings £ 000
At 1 July 2009	2,490
Additions during the year	18,425
At 30 June 2010	20,915

The investments in subsidiary undertakings during the year relate to the following

	£ 000
Quizlane Limited	13,750
Vestbrook Limited	2,886
Ambergate Estates Limited	1,074
Hillkey Limited	715
At 30 June 2010	18,425

At 30 June 2010, the Company had the following interests in the subsidiary undertakings noted below, all of which are registered and operate in England and Wales

	Share class	Holding and voting rights
Tottenham Hotspur Football & Athletic Co Limited – professional football club	Ordinary	100%
White Hart Lane Stadium Limited – provision of football entertainment	Ordinary	100%
Tottenham Hotspur Finance Company Limited – issuer of loan notes	Ordinary	100%
Paxton Road Limited – holds certain properties on behalf of the Group	Ordinary	100%
Stardare Limited – holds certain properties on behalf of the Group	Ordinary	100%
Star Furnishing Company Limited – holds certain properties on behalf of the Group	Ordinary	100%
Ambergate Estates Limited – holds certain properties on behalf of the Group	Ordinary	100%
Canvax Limited – holds certain properties on behalf of the Group	Ordinary	100%
Greenbay Property Limited – holds certain properties on behalf of the Group	Ordinary	100%
Hillkey Limited – holds certain properties on behalf of the Group	Ordinary	100%
Northumberland Park Limited – holds certain properties on behalf of the Group	Ordinary	100%
Northwise Limited – holds certain properties on behalf of the Group	Ordinary	100%
Quizlane Limited – holds certain properties on behalf of the Group	Ordinary	100%
Redbury Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Academy (Chigwell) Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Academy (Enfield) Limited – holds certain properties on behalf of the Group	Ordinary	100%
Tottenham Hotspur Property Company Limited – intermediary holding company for other companies that hold property on behalf of the Group	Ordinary	100%
Vestbrook Limited – holds certain properties on behalf of the Group	Ordinary	100%

4 Stocks

	2010 £'000	2008 £ 000
Stocks	1,066	811

Stock comprises merchandising goods held for resale

5 Debtors

	2010 £'000	2009 £ 000
Trade debtors	89	250
Amounts owed by Group undertakings	141,806	101,007
Corporation tax	331	102
Other debtors	260	322
Prepayments and accrued income	296	393
	142,782	102,074

Notes to the Company accounts (continued)

6 Creditors – amounts falling due within one year

	2010 £ 000	2009 £ 000
Bank overdraft	45,671	24,530
Bank loan	15,000	5,000
CRPS liability	4,860	4,996
Trade creditors	2,792	799
Corporation tax	1,476	3,029
Other creditors	281	50
Accruals and deferred income	5,090	2,550
Amounts due to Group undertakings	34,705	32,032
	109,875	72,986

7 Creditors – amounts falling due after more than one year

	2010 £'000	2009 £ 000
CRPS liability	9,735	9,791
Grants (deferred credits)	89	122
	9,824	9,913

The maturity profile of the Company's financial liabilities at the balance sheet date was as follows

	2010 £'000	2009 £ 000
Bank loan		
In one year or less or on demand	15,000	5,000
In more than one year but not more than two years	—	—
In more than two years but not more than five years	—	—
	15,000	5,000
CRPS liability		
In one year or less or on demand	4,860	4,996
In more than one year but not more than two years	4,865	4,887
In more than two years but not more than five years	4,870	4,904
	14,595	14,787
Total borrowings		
In one year or less or on demand	19,860	9,996
In more than one year but not more than two years	4,865	4,887
In more than two years but not more than five years	4,870	4,904
	29,595	19,787

Interest rate profile

The Group has no financial assets excluding short-term debtors. The CRPS and short-term revolving loan liabilities attract floating rate interest as set out in the Group financial statements.

Borrowing facilities

As at the balance sheet date the Company had the following undrawn committed bank borrowing facilities

	2010 £'000	2009 £ 000
Expiring in one year or less or on demand	15,000	25,000

Fair values

There is no material difference between the fair value and the carrying amount of the Company's financial assets or liabilities.

Notes to the Company accounts (continued)

8 Provisions for liabilities

	£ 000
Deferred taxation	
At 1 July 2009	469
Charge to the profit and loss account	117
At 30 June 2010	586
At 30 June 2009	329

Deferred taxation has been provided as follows

	2010 £'000	2009 £ 000
Accelerated capital allowances	586	469

9 Reserves

for the year ended 30 June 2010

	Share capital account £ 000	Share premium account £ 000	Equity component of CRPS £ 000	Capital redemption reserve £ 000	Profit and loss account £ 000	Total £ 000
Balance as at 1 July 2009	4,640	11,638	3,805	595	19,018	39,696
Profit for the period	-	-	-	-	2,810	2,810
Investment in Group companies	-	-	-	-	18,425	18,425
CRPS converted in the period	37	79	(31)	-	-	85
Ordinary share issue	1,500	13,500	-	-	-	15,000
At 30 June 2010	6,177	25,217	3,774	595	40,253	76,016

The retained profit for the year, dealt with in the financial statements of the parent company, was £2,810,000 (2009 £3,148,000). As permitted by the Companies Act 2006 section 408, no separate profit and loss account is presented. The audit fee of £3,000 (2009 £3,000) is borne by another Group company in the current year and prior year. No fees were paid to the Company's auditors or affiliated entities, relating to other services during the year. Refer to the Group financial statements for full disclosure of fees payable to auditors.

10 Reconciliation of movements in the Company shareholders' funds

	2010 £'000	2009 £ 000
Opening shareholders' funds	39,696	40,259
Profit for the year	2,810	3,148
Ordinary 5p shares issued during the year	15,000	-
Investment in Group companies	18,425	-
Dividend payment	-	(3,712)
Conversion of CRPS to ordinary shares	85	1
Net addition/(reduction) to shareholders' funds	36,320	(563)
Closing shareholders' funds	76,016	39,696

Notes to the Company accounts (continued)

11 Commitments

The annual commitments under non-cancellable operating leases are

	2010 £'000	2009 £'000
Land and buildings		
Leases expiring within one year	-	-
Leases expiring within two to five years	226	226
Leases expiring in more than five years	44	44
	270	270

Notice of annual general meeting

Notice is hereby given that the Annual General Meeting of Tottenham Hotspur plc will be held at Bill Nicholson Way, 748 High Road, Tottenham, London N17 0AP at 2 00pm on 14 December 2010 to transact the following business

As ordinary business

- 1 To receive the report of the Directors and the audited accounts of the Company for the year ended 30 June 2010, together with the report of the auditors on the same
- 2 To approve the report of the Remuneration Committee for the year ended 30 June 2010
- 3 To re-appoint Deloitte LLP as auditors of the Company until the conclusion of the next general meeting at which accounts are laid before the Company and to authorise the directors to determine their remuneration
- 4 To reappoint M J Collecott as a director who is retiring by rotation in accordance with the Company's articles of association

As special business

To consider and, if thought fit, pass resolution 5 below as an ordinary resolution and resolutions 6, 7, 8 and 9 below as special resolutions

Ordinary resolutions

- 5 THAT the directors be and are hereby generally and unconditionally authorised for the purposes of section 551 of the Companies Act 2006 (the "2006 Act"), to allot shares in the Company and to grant rights to subscribe for or to convert any security into shares in the Company up to an aggregate nominal amount of £3,822,870 75 provided that this authority shall expire at the conclusion of the next annual general meeting of the Company after the passing of this resolution or on the date falling 15 months from the date on which this resolution is passed, whichever is the earlier, and provided further that the Company may before such expiry make an offer or enter into an agreement during the relevant period which would or might require shares to be allotted or rights to subscribe for or convert securities into shares to be granted after such expiry and the directors may allot shares or grant rights to subscribe for or convert securities into shares under any such offer or agreement as if the authority conferred hereby had not expired. This authority shall replace all existing authorities granted to the directors for the purposes of section 551 of the Companies Act 1985 which are hereby revoked with immediate effect

Special resolutions

- 6 THAT, subject to the passing of resolution 5 above, the directors be and are hereby empowered to allot equity securities (within the meaning of section 560 of the 2006 Act) for cash pursuant to the general authority conferred on the directors by resolution 5 as though the restriction in section 561(1) of the 2006 Act did not apply to any such allotment, up to an aggregate nominal amount of £3,822,870 75 provided that this power shall expire at the conclusion of the next annual general meeting of the Company after the passing of this resolution or on the date falling 15 months from the date on which this resolution is passed, whichever is the earlier, save that the Company may before such expiry make an offer or enter into an agreement which would or might require equity securities to be allotted after such expiry and the directors may allot equity securities pursuant to such offer or agreement as if the power conferred hereby had not expired
- 7 THAT the Company be and it is hereby generally and unconditionally authorised to make market purchases (within the meaning of section 693(4) of the 2006 Act) of ordinary shares of 5p each in the capital of the Company ("ordinary shares") provided that
 - a the maximum number of ordinary shares hereby authorised to be purchased is 18,519,033 (representing 14.99% of the issued ordinary share capital of the Company),
 - b the minimum price (exclusive of expenses) which may be paid for each ordinary share is 5p (nominal value),
 - c the maximum price (exclusive of expenses) which may be paid for each ordinary share is an amount equal to 105% of the average of the middle market quotations for an ordinary share as derived from the AIM Appendix to the Daily Official List of The London Stock Exchange for the five business days immediately preceding the day on which the ordinary shares are contracted to be purchased,
 - d the authority hereby conferred shall expire at the conclusion of the next annual general meeting of the Company or on the date falling 15 months from the date on which this resolution is passed, whichever is earlier, unless such authority is renewed prior to such time, and
 - e the Company may enter into a contract or contracts to purchase its ordinary shares under the authority hereby conferred prior to the expiry of such authority, which will or may be executed wholly or partly after the expiry of such authority, and may purchase its ordinary shares in pursuance of any such contract or contracts

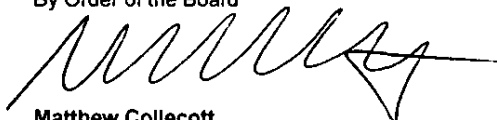
Notice of annual general meeting *continued*

As special business (continued)

Special resolutions (continued)

- 8 THAT the Company be and it is hereby generally and unconditionally authorised to make market purchases (within the meaning of section 693(4) of the 2006 Act) of convertible redeemable preference shares of £78 10 each in the capital of the Company ("preference shares") provided that
- a the maximum number of preference shares hereby authorised to be purchased is 8,668 (representing 14.99% of the issued preference share capital of the Company),
 - b the minimum price (exclusive of expenses) which may be paid for each preference share is £78 10 (nominal value),
 - c the maximum price (exclusive of expenses) which may be paid for each preference share is an amount equal to 105% of the average of the middle market quotations for a preference share as derived from the AIM Appendix to the Daily Official List of The London Stock Exchange for the five business days immediately preceding the day on which the preference shares are contracted to be purchased,
 - d the authority hereby conferred shall expire at the conclusion of the next annual general meeting of the Company or on the date falling 15 months from the date on which this resolution is passed, whichever is earlier, unless such authority is renewed prior to such time, and
 - e the Company may enter into a contract or contracts to purchase its preference shares under the authority hereby conferred prior to the expiry of such authority, which will or may be executed wholly or partly after the expiry of such authority, and may purchase its preference shares in pursuance of any such contract or contracts
- 9 THAT the amended form of the articles of association produced to the meeting and initialled by the chairman of the meeting for the purpose of identification be adopted as the articles of association of the Company in substitution for, and to the exclusion of, the existing articles of association

By Order of the Board



Matthew Collecott

Company Secretary

Registered Office

Bill Nicholson Way

748 High Road

Tottenham

London N17 0AP

Registered in England and Wales

with company number 1706358

10 November 2010

Notice of annual general meeting *continued*

Explanatory notes on resolutions 5, 6, 7, 8, and 9

Resolution 5 – Authority to Allot Shares

Resolution 5, an ordinary resolution, as set out in the Notice of Annual General Meeting, will be proposed which seeks to renew for a further year the directors' general authority to allot shares given at last year's annual general meeting and to grant rights to subscribe for or to convert any security into shares in the Company. If passed, this new authority would give the directors the authority to allot shares and to grant rights to subscribe for or to convert any security into shares in the Company with an aggregate nominal value of up to £3,822,870.75 comprising 76,457,415 ordinary shares of 5 pence (representing approximately 62% of the current issued ordinary share capital of the Company). Your directors believe that the authority which this resolution would give them to allot ordinary shares without further recourse to shareholders in a general meeting would be in the best interests of the Company and its shareholders as a whole. The directors have no present intention of issuing any part of the authorised but unissued ordinary share capital of the Company. This authority will expire at the conclusion of the next annual general meeting or, if earlier, 15 months from the date of the passing of the resolution.

Resolution 6 – Disapplication of Pre-Emption Rights

A special resolution, resolution 6, as set out in the Notice of Annual General Meeting, will be proposed and seeks to renew an authority granted at last year's annual general meeting but in a form updated to reflect the recently implemented relevant provisions of the 2006 Act. It gives the directors authority to allot ordinary shares for cash without first offering them to existing shareholders in proportion to their existing shareholdings. If this resolution is passed, your directors will be authorised to issue up to 76,457,415 ordinary shares (representing approximately 62% of the current issued ordinary share capital of the Company) without being obliged to offer existing shareholders the opportunity to subscribe for all or some of those ordinary shares. In particular, your directors will have discretion to allot and issue those ordinary shares to such persons (who may include some but not all of the Company's existing shareholders) and at such prices and on such other terms as the directors in their absolute discretion may determine. Your directors believe that the Company needs to be in a position to issue ordinary shares for cash on such terms as your directors may from time to time believe to be in the best interests of the Company without being required to seek consent for such an issue from the Company's shareholders in general meeting. Accordingly, your directors believe the flexibility which this resolution would grant them to be in the best interests of the Company and its shareholders as a whole. This authority will expire at the conclusion of the next annual general meeting or, if earlier, 15 months from the date of the passing of the resolution.

Resolutions 7 and 8 – Purchase of Own Shares by the Company

This resolution seeks to renew the authority of the Company to purchase its own ordinary shares and preference shares because the directors believe it is in the best interests of the Company to retain the flexibility to return cash to shareholders. It is important to note that the directors have no immediate intention of exercising this authority and would only do so after considering the effect of doing so on net assets and/or earnings per ordinary share and the interests of shareholders generally. In addition, the directors will only exercise this authority if at the time such exercise is contemplated they are satisfied that the Company has sufficient cash resources and distributable reserves.

Resolution 7 seeks authority for the Company to purchase up to 18,519,033 ordinary shares in the market representing 14.99% of the current outstanding issued ordinary share capital of the Company. The Company will pay not more than 105% of the average middle market price of an ordinary share for the five days preceding any purchase (exclusive of expenses) and not less than 5p per ordinary share (the nominal value of each ordinary share) for purchases of ordinary shares pursuant to the authority.

Resolution 8 seeks authority for the Company to purchase up to 8,668 preference shares in the market representing 14.99% of the current outstanding issued preference share capital of the Company. The Company will pay not more than 105% of the average middle market price of a preference share for the five days preceding any purchase (exclusive of expenses) and not less than £78.10 per preference share (the nominal value of each preference share) for purchases of preference shares pursuant to the authority.

Any shares purchased pursuant to these authorities will be cancelled and the number of ordinary shares or preference shares (as the case may be) in issue will be reduced accordingly. These authorities will expire at the conclusion of the next annual general meeting of the Company or, if earlier, 15 months from the date of the passing of the relevant resolution.

Resolution 9 – Amendments to the Articles of Association

It is proposed in resolution 9 to adopt new articles of association (the "New Articles") with immediate effect at this year's AGM.

The changes to the Articles of Association are of a minor, technical or clarifying nature which reflect changes in market practice and update guidance from bodies representing institutional investors and to reflect changes as a result of the final implementation of the Companies Act 2006, the Companies (Shareholder Rights) Regulations 2009 and the language used in the new model articles for public companies produced by the Department for Business, Innovation and Skills.

The principal changes are summarised in the Appendix of this Notice entitled "Explanatory Notes of Principal Changes to the Company's Articles of Association".

The New Articles showing all the changes to the Current Articles are available for inspection, as noted on page 57 of this document.

Notice of annual general meeting *continued*

Information for shareholders

How to vote

Only those shareholders on the Company's Register of Members 48 hours before the time of the Annual General Meeting or any adjourned meeting are entitled to attend, speak and vote at the Annual General Meeting. A shareholder shall be entitled to cast votes in respect of such shares as is registered in his or her name at this time. Changes to entries on the register after this time shall be disregarded in determining the rights of any person to attend or vote at the Annual General Meeting.

Appointment of a proxy

Any such shareholder is entitled to appoint a proxy to attend the Annual General Meeting instead of him or her. The proxy shall have the same rights to attend, speak and vote at the Annual General Meeting as the shareholder. A proxy need not be a shareholder of the Company.

A shareholder may appoint more than one proxy in relation to the Annual General Meeting provided each proxy is appointed to exercise rights attached to a different share or shares held by that shareholder. You may not appoint more than one proxy to exercise rights attached to any one share.

A vote withheld is not a vote in law, which means that the vote will not be counted in the calculation of votes for or against the resolution. If no voting indication is given, your proxy will vote or abstain from voting at his or her discretion. Your proxy will vote (or abstain from voting) as he or she thinks fit in relation to any other matter which is put before the Annual General Meeting.

A proxy voting form for the Annual General Meeting is enclosed with the Annual Report and Accounts. To be valid, a duly completed proxy voting form must reach Capita Registrars, PXS, The Registry, 34 Beckenham Road, Beckenham, Kent BR3 4TU not less than 48 hours before the time of the Annual General Meeting or any adjourned meeting.

Shareholders who return completed proxy voting forms or any CREST Proxy Instruction as noted below may still attend the Annual General Meeting and vote in person if they wish.

CREST members who wish to appoint a proxy or proxies through the CREST electronic proxy appointment service may do so for the Annual General Meeting and any adjournments of the Annual General Meeting by using the procedures described in the CREST Manual. CREST Personal Members or other CREST sponsored members, and those CREST members who have appointed a voting service provider(s), should refer to their CREST sponsor or voting service provider(s), who will be able to take the appropriate action on their behalf. In order for a proxy appointment or instruction made using the CREST service to be valid, the appropriate CREST message (a "CREST Proxy Instruction") must be properly authenticated in accordance with Euroclear UK & Ireland Limited's specifications and must contain the information required for such instructions, as described in the CREST Manual. The message, regardless of whether it relates to the appointment of a proxy or an amendment to the instruction given to a previously appointed proxy must, in order to be valid, be transmitted so as to be received by the issuer's agent (ID RA10) by the latest time(s) for receipt of proxy appointments specified in the Notice of Annual General Meeting. For this purpose, the time of receipt will be taken to be the time (as determined by the timestamp applied to the message by the CREST Applications Host) from which the issuer's agent is able to retrieve the message by enquiry to CREST in the manner prescribed by CREST. After this time any change of instructions to proxies appointed through CREST should be communicated to the appointee through other means. CREST members and, where applicable, their CREST sponsors or voting service providers should note that Euroclear UK & Ireland Limited does not make available special procedures in CREST for any particular messages. Normal system timings and limitations will therefore apply in relation to the input of CREST Proxy Instructions. It is the responsibility of the CREST member concerned to take (or, if the CREST member is a CREST personal member or sponsored member or has appointed a voting service provider(s), to procure that his CREST sponsor or voting service provider(s) take(s)) such action as shall be necessary to ensure that a message is transmitted by means of the CREST system by any particular time. In this connection, CREST members and, where applicable, their CREST sponsors or voting service providers are referred, in particular, to those sections of the CREST Manual concerning practical limitations of the CREST system and timings. The Company may treat as invalid a CREST Proxy Instruction in the circumstances set out in Regulation 35(5)(a) of the Uncertificated Securities Regulations 2001.

Corporate representatives

If you are a corporation, you may appoint one or more corporate representatives who may exercise on your behalf all your powers as a member provided that they do not do so in relation to the same shares.



Notice of annual general meeting *continued*

Documents

The following documents may be inspected during business hours at the offices of the Company's solicitors Olswang, 90 High Holborn, London WC1V 6XX (weekends and public holidays excluded) from the date of this Notice until the close of the Meeting and will also be available for inspection at the place of the Annual General Meeting from 11 00am on the day of the Annual General Meeting until the conclusion of the Annual General Meeting

- (i) copies of the executive directors' service agreements,
- (ii) copies of the non executive directors' letters of appointment, and
- (iii) a copy of the articles of association of the Company marked to show the changes which will be made on the passing of resolution 9

Who may attend?

Only shareholders on the Company's Register of Members 48 hours before the time of the Annual General Meeting or any adjourned meeting are entitled to attend, or to appoint proxies or corporate representatives to attend the Annual General Meeting. No-one else will be admitted. Changes to the Register of Members after the relevant deadline shall be disregarded in determining the rights of any person to attend and vote at the Annual General Meeting.

Please bring to the Annual General Meeting the attendance card attached to your Form of Proxy. You will be asked to show it at the entrance and not bringing it with you could delay your admission. Shareholders may also be required to provide proof of identity.

If you have been appointed as a proxy, please make this fact known to the admission staff who will direct you to the appropriate desk.

Security

There will be security checks at the entrance to the venue. To speed admission, it would be helpful if you did not bring briefcases or large bags. Cameras, mobile phones, lap top computers or tape recorders will not be allowed into the Annual General Meeting.

Asking questions at the Annual General Meeting

During the Annual General Meeting, the chairman will give shareholders, corporate representatives and proxies the opportunity to ask questions on the resolutions proposed at the Annual General Meeting and which are set out in the Notice of Annual General Meeting.

About the Annual General Meeting

At the Annual General Meeting, you will be asked to vote on the resolutions which are set out in the Notice of Annual General Meeting and therefore it would be helpful if you were to bring the Annual Report and Accounts to the Annual General Meeting.

Smoking

Smoking will not be permitted in the auditorium.

Notice of annual general meeting *continued*

APPENDIX

EXPLANATORY NOTES OF PRINCIPAL CHANGES TO THE COMPANY'S ARTICLES OF ASSOCIATION

The following is an explanation of the principle changes to be made to the Company's current Articles of Association as a result of adopting the new Articles of Association

Directors' refusal to register transfers of shares

The current Articles of Association permit the directors to refuse to register transfers of shares without giving a reason for such refusal. This power is inconsistent with the requirement in the Companies Act 2006 that reasons must be given for any refusal. Accordingly, this power has been amended in the new Articles of Association.

Quorum requirements at members' meetings

The current Articles of Association do not reflect the provisions of the Companies Act 2006 with respect to the quorum at members' meetings. The proposed change states that a meeting of the members cannot be quorate by virtue of a member having appointed more than one corporate representative or proxy (with such a member and corporate representative or proxy together satisfying the quorum requirements), which would be contrary to the provisions of the Companies Act 2006.

Proxies appointed by multiple members

The provisions of the Companies Act 2006 in relation to voting by a proxy who has been appointed to act as a proxy by more than one member have been the subject of comment and guidance from the Institute of Chartered Secretaries and Administrators ("ICSA"). The new Articles of Association implement ICSA's guidance to ensure that proxies may properly exercise their votes where they are appointed by more than one member.

Other amendments

Further amendments have been made in the new Articles of Association in relation to the Company's relationship with proxies and corporate representatives appointed by members. These amendments:

- allow the Company to supply proxy appointment forms in electronic format,
- formally set out the Company's rights in relation to verifying a proxy's appointment and authority,
- formally set out the procedure for the termination of a proxy appointment, and
- specify that the Company will not be responsible for analysing whether any proxies or corporate representatives are voting in accordance with their instructions.

Notice of annual general meeting *continued*

Executive Chairman
D P Levy

Executive Director
M J Collecott

Non-Executive Director
Sir K E Mills*

Company Secretary
M J Collecott

Registered office
Bill Nicholson Way
748 High Road
Tottenham
London N17 0AP

Registered number
1706358

* Chairman of the Audit and Remuneration Committees

Auditors
Deloitte LLP
Chartered Accountants
2 New Street Square
London EC4A 3BZ

Bankers
HSBC Bank plc
70 Pall Mall
London SW1Y 5EZ

AIM nominated broker and adviser
Seymour Pierce Limited
20 Old Bailey
London EC4M 7EN

Registrars
Capita Registrars
Northern House
Woodsome Park
Fenay Bridge
Huddersfield
West Yorkshire HD8 0LA

Tottenham Hotspur plc
Bill Nicholson Way
748 High Road
Tottenham
London N17 0AP
tottenhamhotspur.com

